LOBBYING MONEY—ARTICLE BY JOSEPH HARSCH

[Mr. LANGER asked and obtained leave to have printed in the RECORD an article entitled "Lobbying Money," written by Joseph Harsch, published in the Christian Science Monitor, and republished in the Leader, of Bismarck, N. Dak., which appears in the Appendix.]

HOW FALSEHOODS SPREAD—EDITORIAL FROM THE BISMARCK LEADER

[Mr. LANGER asked and obtained leave to have printed in the RECORD an editorial entitled "How Falsehoods Spread," published in the Leader, of Bismarck, N. Dak., January 8, 1950, which appears in the Appendix.]

GOVERNMENT EXPENDITURES—ARTICLE FROM THE READER'S DIGEST

[Mr. KEM asked and obtained leave to have printed in the RECORD an article from the Reader's Digest relating to Government expenditures, which appears in the Appendix.]

REPEAL OF OLEOMARGARINE TAXES

The Senate resumed the consideration of the bill (H. R. 3023) to regulate oleomargarine, to repeal certain taxes relating to oleomargarine, and for other purposes.

Mr. SMITH of New Jersey obtained the floor.

Mr. HENDRICKSON. Mr. President, will my colleague yield to me?

Mr. SMITH of New Jersey. I yield.

The PRESIDING OFFICER (Mr. STENNIS in the chair). Let the Chair first state the question before the Senate. The question is on agreeing to the amendment proposed by the Senator from Wisconsin [Mr. MCCARTHY], inserting certain language after line 10, on page 4 of the House bill 3023.

The Senator from New Jersey has the floor and yields to his colleague the junior Senator from New Jersey.

Mr. HENDRICKSON. Mr. President, I suggest the absence of a quorum.

The PRESIDING OFFICER. The clerk will call the roll.

The Chief Clerk called the roll, and the following Senators answered to their names:

Aiken	Hayden	Magnuson
Anderson	Hendrickson	Martin
Benton	Hickenlooper	Maybank
Bricker	Hill	Moore
Butler	Hoey	Murray
Byrd	Holland	Neely
Cain	Humphrey	Robertson
Capehart	Hunt	Russell
Chapman	Ives	Saltonstall
Connally	Jenner	Schoeppel
Cordon	Johnson, Tex.	Smith, N. J.
Darby	Johnston, S. C.	Sparkman
Donnell	Kefauver	Stennis
Douglas	Kem	Taft
Downey	Kerr	Taylor
Dworshak	Kilgore	Thomas, Okla.
Eastland	Knowland	Thomas, Utah
Ecton	Lehger	Thye
Ellender	Leahy	Tobey
Ferguson	Lehman	Tydings
Flanders	Lodge	Vandenberg
Frear	Long	Watkins
Fulbright	Lucas	Wherry
George	McCarran	Wiley
Gillette	McCarthy	Williams
Graham	McFarland	Young
Green	McKellar	
Gurney	McMahon	

The PRESIDING OFFICER. A quorum is present.

AMERICAN FOREIGN POLICY IN THE FAR EAST

Mr. SMITH of New Jersey. Mr. President, I desire to take this occasion to report personally to my colleagues on my recent trip to the Far East and to make certain observations on conditions as I found them there and certain recommendations for consideration in the development of a sound far-eastern foreign policy. I am aware there are some matters I shall bring up that may be controversial, and my colleagues may wish to interrupt. I am going to request that I not be interrupted until after I have finished my address, at which time I shall be more than happy to answer questions of my colleagues.

My distinguished colleague the Senator from California [Mr. KNOWLAND] made a memorable address on the floor of the Senate last Thursday, in which he reviewed in some detail the developments leading up to the present debacle in China and pointed out what seemed to him, and I may add to a number of other Members of the Senate, to be the mistakes of policy, or, perhaps better stated, the lack of policy, of the administration in the far-eastern situation.

While I have been one of the severe critics of the administration on far-eastern policy, it is not my purpose in my remarks today to take the critical side, except, incidentally, as it may be relevant in making my points in my effort to develop a positive program. At the moment I am not interested in the answer to the question as to who has been wrong in this controversy, but I am profoundly interested in what may be the right answer to the legitimate question pressing us on all sides as to our future course and policy in the Far East if we are to stop the creeping paralysis of communism in that area.

It was because of my complete feeling of frustration after studying the China white paper, and after discovering the wide divergence of opinion among experts whom I had consulted, that I felt the urge, as a member of the Foreign Relations Committee of the Senate, to go in person as soon as possible to the area affected and to get the "feel" of the situation on the ground. With the unanimous consent of the Senate, which I asked for and received on September 9, I made my plans to go to Japan first, after checking with General MacArthur and receiving his invitation to come. Mrs. Smith and I visited Japan, Okinawa, the Philippines, Hong Hong, Korea, Formosa, and on our flight home the island of Guam, the trusteed islands in the Pacific, and the Hawaiian Islands.

During this trip we interviewed many people, including the United States high command—military, naval, and air; our State Department officials—Ambassadors, consuls, and their staffs; native Japanese, Filipinos, Chinese, Koreans, and the inhabitants of the various islands. We also had the privilege of interviewing many Americans and British who for years have been living in these areas.

Immediately upon my return, which was about the end of October, and before I had had time to prepare my report to my committee in detail, I endeavored to contact the Secretary of State, Mr. Acheson, in order to make my recommendations directly to him. Of course, as we know, he at that time was about to start for his important conferences in Paris, and although he could not see me, he expressed interest in my trip, and at his suggestion I sent him a preliminary memorandum in the form of a letter to take with him on his journey to Paris, which contained two vitally important recommendations which I felt I should make immediately to the Department of State and to my committee.

That letter is dated November 4. I again want to emphasize the date. It was the first communication I made to anybody on the subject of my trip. I ask unanimous consent that this first communication to the Secretary of State after my return be inserted in the RECORD at this point.

There being no objection, the letter was ordered to be printed in the RECORD, as follows:

NOVEMBER 4, 1949.

HON. DEAN ACHESON,
Secretary of State,
Department of State,
Washington, D. C.

DEAR DEAN: I had hoped to see you before this to have a chance to talk to you personally about my experience in the Far East. I see by the papers this morning that you may be called suddenly to Paris for a conference with the British and French on policies generally, and therefore the chances of my seeing you before you return do not appear to be too bright. I realize the pressure you are under and want to send you my very best wishes as you undertake these important deliberations.

There are just two matters I wanted particularly to emphasize in my talk with you and I can state them in this letter, with the hope that I can elaborate my reasons at a later date:

1. I am strongly of the conviction that under no conditions should we recognize the Chinese Communist government at this time, and furthermore I hope it will be possible for you with your eloquence and diplomacy to persuade the British not to do so. Whether or not it ultimately has to be done remains to be seen, but I think it would be tragically fatal at the moment. From my talks with the British authorities in Hong Kong, I was convinced that they were thinking exclusively in terms of (a) defense of Hong Kong, or at any cost retaining it in British possession, and (b) the pressure of their commercial interests in Shanghai and Hong Kong to recognize the Commies, so that traditional British trade can go on as before.

I was also impressed, however, with the argument from the British that they felt whatever stand was taken should be taken with the United States and not apart from the United States. I feel, therefore, that our strong stand against recognition would have a weighty effect upon the British position. In any event, however, I urge that we do not make the mistake, as I see it, of recognizing the Chinese Communist government at this time. Many things can happen in the next few months.

2. The second important conviction that came to me from my trip was that under no conditions should we let Formosa fall into the hands of the Chinese Communists or under the domination of Russia. This, of course, presents a very difficult question, and it is problematical whether the Nationalist Government could defend Formosa without further aid from us. From the standpoint of our own national security, however, I was convinced from my visit on the ground and getting the feel of our strategical island bases that the occupation of Formosa by hostile forces would definitely threaten our security. I did not arrive at this conclusion from any strategical knowledge of my own,

which I make no claim to, but from the insistence of our military and naval forces wherever I went that this was a very dangerous issue and that we could not afford to pass it up.

Without raising the question of whether or not we should back up the Nationalist forces in their defense, the feeling seems to be among many of our people in Japan and in other places that in light of the fact that the peace treaty has not as yet been signed with Japan, Formosa today is technically part of Japan, even though because of the Cairo agreement we permitted the Nationalists to take it over. If we can still take the position that technically it is part of Japan, and that as we are occupying Japan we have a responsibility for all Japanese possessions, we could, I believe, perfectly consistently take it over by our occupancy, with notice to the UN that it might be made a trusteeship area. This should be done in collaboration with the Nationalist Government that is there and with the Taiwan people themselves, who I believe would be anxious to have us take such a step. If this were done, the Chinese Communists would be faced with the responsibility of attacking the United States if they attacked Formosa under these conditions.

I am sending you this line at this time because of your contemplated trip to Europe, and as a member of the Foreign Relations Committee of the United States Senate, who feels he has a personal responsibility to express to our representative his convictions on these important points. I am working now on a more complete report to my committee, based on my observations, and to you as Secretary of State.

With kindest personal regards and assurances to you of my eagerness to work these problems out on a completely cooperative basis, having in mind the legislative as well as the executive responsibilities of all of us, I remain,

Always cordially yours,

H. ALEXANDER SMITH,
United States Senator.

Mr. SMITH of New Jersey. In this letter I made two points which I shall develop later—first, the importance of nonrecognition of Communist China and of efforts to prevail on the British to join us in that course; and second, the strategic importance of preventing Communist seizure of Formosa.

Shortly thereafter the discussion of the far-eastern situation became very prominent in the public press. In light of the special interest that had arisen with regard to the Formosa problem especially, I wrote to the Secretary of State, Mr. Acheson, under date of December 27—and I again emphasize the date, December 27—submitting to him some further suggestions. These will appear later in this address.

Mr. President, at this point I desire to comment on certain parts of the report which I made to the Foreign Relations Committee, and copies of which went to the Secretary of State and others in the State Department concerned with far-eastern affairs. I ask unanimous consent that there appear in the RECORD at the conclusion of my address the full text of this report with the letter of transmittal in order that the RECORD may be complete.

The PRESIDING OFFICER. Without objection, it is so ordered.

(See exhibit A.)

Mr. SMITH of New Jersey. In part II of the report, namely, Comments on Specific Areas, I made a brief summary of those areas covered by the trip other than China and its problems; particularly, I discussed briefly the situation in Japan, where it will be noted my report is very positive and very optimistic, and particularly points out the magnificent work which has been done by the American occupation under the brilliant leadership of General MacArthur.

Part III of my report was a separate treatment of the problem of China. Here I was dealing with the real purpose of my trip, and, as I pointed out in my report, we were handicapped because of the difficulty and practical impossibility of getting inside China. General MacArthur came to our rescue by making it possible for us to go to Hong Kong, and later to Formosa, where we did have a first-hand opportunity of studying some of the difficult problems involved in those areas. Everywhere we went in the Far East, China was a primary subject of discussion. People with whom I talked were divided into two main groups; first, those who follow the general line of our United States policy and look upon the Nationalist cause as completely "washed up"; second, those who are sharply critical of the United States policy and feel we are largely to blame for the let-down of morale of the Nationalists and who feel there is still salvage in the existing situation, desperate though it is.

As I stated in my opening remarks, it is not my purpose to seek to place blame. What I am seeking to do is to find, if possible, some formula for the future and see if there is any salvage in the existing Chinese situation.

It was my privilege in my visits to Hong Kong and Formosa to talk with many American-trained Chinese who have the vision of our western Christian tradition, and who, I believe, would sincerely make any personal sacrifice to save China from the dangers that now threaten her. I had the privilege of conferring at some length with Generalissimo Chiang Kai-shek, who in spite of all the mistakes he has admittedly made in dealing with this situation, is nevertheless, in my judgment, one of the most important figures World War II produced, and who may still have much to contribute to the salvation of his country. In my conference with him—and I want to emphasize this—I purposely avoided discussion of any further military assistance. I made it as clear as I could that I was not thinking in military terms so that there could be no possible implication that further military aid might be forthcoming. I knew the feeling of the administration on that subject, and I did not want to be put in the position of seeming to be promising any military aid. This was not because I did not hope we might decide to give them further military aid for the defense of Formosa, but because I wanted to highlight my own conviction that there was another approach to the Chinese problems from the ideological side which had been too much neglected. What I did stress, therefore, was that the Nationalist Government had not offered the Chinese people any program of reform and rehabilitation which could compete adequately with the Russian-inspired Communist promises. We pointed out that even on the island of Formosa which had been Japanese territory, the Nationalists, when they took over, could have made the island an ideal Chinese province with all the reforms that the Chinese people were yearning for. Unfortunately, the island has had Nationalist governors who had the purely militaristic point of view, and who unfortunately treated the Formosan people not as liberated Chinese, but as a conquered population.

When I was in Formosa an eminent and high-minded Chinese was governor, namely, Gen. Chen Cheng. My criticisms are not aimed at him, because he was seeking reforms in that area about which complaints had been made. I was convinced from my talks with him that he saw the need of the reforms which we had been discussing, and in fact had taken some steps to put them into effect. He was a military man, however, and unfortunately the atmosphere of militarism was resented by the people. Since that time Gen. Chen Cheng has been put in command of a part of the Nationalist forces elsewhere, and Mr. K. C. Wu, an American-trained civilian Chinese, has been made governor of the island.

I had personally known of Mr. K. C. Wu prior to my trip to China, because he was educated at Princeton, with which I have been connected, and took a Ph. D. degree there. I can say from my knowledge of Ph. D. degrees that that was an accomplishment for a foreigner. He had the reputation of being a brilliant student and a man of the highest integrity. During my stay in Formosa I had very important talks with Mr. Wu. I was convinced of his ability and his vision, and it was he who explained best to me some of the problems which had handicapped the Generalissimo in his administrative duties.

To sum up the situation as I saw it there, the morale and leadership and the strength of the Nationalist Government, which was the foundation of Chiang Kai-shek's brilliant leadership in the war against Japan, has collapsed because of military mistakes and internal jealousies. It has also collapsed because of the thread of misunderstanding and, I regret to say, the ineptness on the part of our Government which runs through the whole post VJ-day story. My own judgment is that we did not thoroughly understand the Chinese psychology.

Let me add here that from my personal contacts and my knowledge over a number of years of some of these Chinese individuals, I am prepared to deny the unfortunate propaganda that all Chinese in the Nationalist ranks are corrupt. Of course there is some corruption in China, as there is in other parts of the world. But many of the fine Chinese we met still stand by the Nationalist cause and have been struggling hard to reform the Nationalist leadership.

I have gone at some length into this phase of the situation in China because I wish to emphasize that we have overlooked a far more important factor than mere military aid. That factor is what might be called the psychological or ideological factor which could have

meant support and backing for those high-minded Chinese whom we well knew and who were seeking reform and who should never have been given the discouragement that came from the feeling that their old traditional friend, the United States, had abandoned them in their time of greatest crisis.

After I had discussed in my report the problem of China, I took up part IV, which I called over-all observations, and under this head I made seven points.

My first observation was the yearning among all peoples in the far-eastern areas to express their own nationalism and to be free from external controls. That is literally in the air. This yearning for freedom and self-expression was so strong that it must inevitably impress any visitor, even for a short time. It certainly exists in Japan where General MacArthur has recognized it and is trying to give it expression. It certainly exists in the Philippines, where in spite of gratitude to the United States there is rejoicing over freedom and independence. It certainly exists in Korea where the South Koreans are ready to die in order to preserve the freedom they have won, and it certainly exists in Formosa where the natives are demanding freedom and are even suggesting that they might set up an independent state protected from the Communists on the one hand and not left under the subjection of the Nationalists on the other hand.

I wish to express the view at this point that there are Formosans who are between the two forces. We have been speaking in terms of those who are in this picture, and who are innocent bystanders and onlookers in the holocaust that is going on.

My second observation was that the people in the Far East were yearning for economic reform and rehabilitation. There are distinct protests in the air against old-fashioned colonialism on the one hand, and totalitarian controls on the other. The Chinese Communist movement is fooling the people by false promises of freedom and reform. Unfortunately we of the western democracies have failed adequately to explain and interpret the foundations of true liberty which are deeply spiritual in their nature and which through a thousand years of "sweet, blood and tears" have made possible the building of a great country such as the United States.

My third observation was that we Americans are not sufficiently Far-East minded. We come from European stock and therefore because of our ancestral influences, we think in terms of the problems of Europe rather than the problems of the Orient. Those who are representing us in the Far East, whether in the defense groups or in the State Department groups, all indicated to me a sense of loneliness in that the problems of Europe were being highlighted and the problems of the Far East were being neglected. They felt that the men on the ground who were in daily contact with these problems were not being considered, but that questions of policy were being decided in Washington, 10,000 miles away, by some who had never even been to the Far East, or who certainly had not been there recently.

My fourth observation was that our representatives in the Far East were handicapped in the handling of problems because we appear to be dealing with those problems in compartments rather than as one composite whole. General MacArthur and the Army have general jurisdiction over our island defenses running from Alaska through Japan, Okinawa, and the Philippines, but have nothing whatever to do with the mainland of Asia. The mainland of Asia is under the jurisdiction of our Navy, and while I have never seen anywhere better cooperation between our Army and Navy than in this area, everyone with whom I talked, both Army and Navy men, admitted there should be a unification of authority in the entire area and that an over-all ideological as well as purely military approach to the problems was necessary if we are to meet the challenge that communism is making. Unfortunately, our policy of "letting the dust settle" completely ignores this ideological approach. I came away with a strong conviction that there should be some one guiding hand covering all these far-eastern problems, either in the form of an individual or in the form of a closely coordinated group. Certainly from the military and general strategical point of view, the fact that there is no one finger on the pulse of all these problems is a critical weakness.

We are going to have to consider not only China, but Burma, and Indochina, and Siam, and Korea, and the new Indonesian Republic, and so forth. There is no one finger on the pulse of events in the Far East. When I say "one finger," I do not necessarily mean one man, but one man or a coordinated group.

My fifth observation was with regard to the military situation with which we are all familiar and the collapse of the Nationalist armies. It might be noted here that this situation in China is paralleled by threatened situations in other far-eastern areas to which we must give our immediate attention. When I say "immediate," I wish to emphasize that word. Time is passing very rapidly, and we have no policy.

My sixth observation had to do with the morale factor. In talking with people whose views represent both sides of the Chiang Kai-shek controversy, I came to the conclusion that there was a tendency to think the alternative to further military aid to the Nationalist Government was the abandonment of China entirely, that there must be military aid or nothing, that when one makes an argument against military aid, his conclusion is abandonment. In talking with prominent Chinese who I found had ideals for China other than mere military victory for the Nationalist Government, I sensed a feeling of despair because of their abandonment by the United States in this crisis in their history. Since the days of the Boxer indemnity scholarships, the "open door" and our strong stand for China's territorial integrity, advanced Chinese thinkers have looked to the United States for leadership in the areas of educational and spiritual advancement.

These Chinese leaders with whom I had many conversations, and whom I characterize as advanced thinkers on Chinese problems, have emphasized to me that as serious as the loss of our military support was, it was even more serious to the Chinese people to lose those morale-building factors which Americans and American-trained Chinese had contributed. It seemed to me as I talked with these people as though in our dealings with the Chinese during the past few years that we have underestimated this distinction between morale-building factors and mere military might.

Finally among my observations, my point 7 had an optimistic touch and expressed a hope for the future. I suggested that the morale factor which I had discussed with these Chinese leaders and which is very hard to define and lay our hands on in a practical way, offers us a latent salvage in the situation which we cannot afford to neglect. We must find some way to salvage these Chinese leaders, who, to my mind, are the hope of the future of China, and who today are primarily identified with the Nationalist cause. I talked with them in Hong Kong, Formosa, and have talked to them in New York and elsewhere in America. Figuratively speaking, these men are holding out their hands to us with a plea to continue to believe in their basic objectives and help them maintain their courage against the tremendous odds of military defeat. These are the real standard bearers against the creeping paralysis of Russian-inspired communism. These individuals might well be described as oases in the vast desert of China, and I have no doubt that throughout the entire "curtain" area there are those who would rally to a courageous ideological approach aimed at Chinese rehabilitation.

The fact must be faced that the conquest of China has been, first of all, an ideological penetration. Twenty-five years ago men were being prepared in Sun Yat-sen's university in Moscow for this strategy. They stole the Sun Yat-sen name at that time and gave it to a university in Moscow, and took these young men over there. And they succeeded in their design. The military phase was important, but the winning of Chinese to the philosophy of communism came first. We in this country are slow to understand that we live in an ideological age. And we have been slow to realize that this is a cold war for men's minds. We try to meet that ideological penetration with economic aid and with "business as usual." We have sent educators and missionaries, but as a nation we must face the tragic result that the ideas of Marx and Lenin have taken over this vast territory and that the Christian heart of our democratic faith, the spirit that has brought us liberty in political form after thousands of years of struggle will be slowly strangled in the life of China. If we recognize this tragic fact, we shall begin to create a new kind of strategy. We shall fight to insure that along with economic and military strength, we are ideologically prepared.

In his press conference, as it appears in the New York Times of Friday, January 6, the Secretary of State in supporting the President's "hands off Formosa" policy is quoted as saying:

> It is not the function of the United States, nor will it nor can it attempt, to furnish a will to resist and a purpose for resistance for those who must provide for themselves. That is the background of this statement.

Mr. President, I cannot describe how shocked I was when I read that; but it made me understand the point of view that brought us to where we are.

I do not wish to quote the Secretary of State out of his context, but it seems to me that such a conclusion lays us open to the charge of bankruptcy of policy. If America cannot provide the motive and impulse that will enable the free peoples of the world to fight for democracy, how can we possibly expect material means to do the job alone? How can we expect mere dollars to solve this problem? How can we expect it to be solved unless something more than dollars is used?

Regardless of our economic, political, and military policies for the Orient, the key to the democratic future of the Far East lies in this field, the training of a truly democratic leadership now, much as Moscow started to train Communist leadership from China and far-eastern countries years ago. Moscow simply outwitted us. Moscow simply moved first, and now we are the victims.

After making the foregoing observations, which in a slightly different form appear in my report to the committee, I made certain immediate specific recommendations which appear in part V of the report, and in making those recommendations I said I was pleading for an attitude of mind by us which will give hope and courage to those who are still willing to remain faithful to what they believe in. Frankly, it is the attitude of mind that I found in discussing this matter with some of our leaders in the State Department which has given me discouragement, and this sense of frustration. The administration's attitude seems to be that we cannot think of aid of any kind because it might mix us up in the so-called Chinese civil war. Yet, we have examples of extending aid which might mix us up. I am thinking of the Atlantic Pact countries, and our recent set-up there; I am thinking of our policy affecting Greece and Turkey; yet when it comes to the Far East it is contended we will become mixed up in war if we give any kind of aid.

This attitude seems to exclude our full participation in the kind of ideological approach through an understanding with these high-minded Chinese leaders which alone can bring an ultimate recovery of China. There are so many instances in history where the spirit of the people, even without powerful backing has saved situations that I do not need to elaborate here more on this particular matter. We need only to think of Valley Forge in our own history and Dunkerque in recent British history, as my distinguished colleague from California pointed out last Thursday, to realize the possibilities in the spirit and courage of human beings. Irrespective of what the situation is in the Far East, irrespective of all other considerations with regard to our Chinese policy, I urge with all the force at my command that we seek and find a formula to preserve what I truly believe today is alive in China—this courageous spiritual heritage.

In my conclusion, after my recommendations, I emphasized particularly that the United States of America in its foreign policy must not let down the small and weak nations of the Far East in their yearning for self-expression and nationalism, and especially their yearning for freedom from dictatorial controls. Certainly we cannot stand by and see them released from the old type of colonialism and then sold into the slavery of the new totalitarian, atheistic communism.

Now, Mr. President and Members of the Senate, I shall proceed to a discussion of the most urgent question facing us today, namely, the action which should be taken with respect to the remaining core of Nationalist resistance about which I have been talking, whose vital center is Formosa. I am going to examine the Formosan problem.

Before I examine the alternatives before us, as I see them, let me restate certain points which I developed in my report of December 1.

First. We need a single coordinated far-eastern policy. Therefore, our action with respect to Formosa must fit in with our whole military and political position in the Far East.

Second. From the strategic standpoint, we have ample expert testimony that the passing of Formosa into Communist hands would seriously weaken our whole position in the Pacific. That, of course, is one of the great controversial issues to which I shall refer again in a moment.

Third. From the political and ideological standpoint, American recognition of the Chinese Communists, whose conquest of China is a major element in Soviet world strategy, would deal a heavy blow to the cause of freedom throughout the Far East. To oppose this Communist movement it is vital not only that we should refuse recognition to the Mao Tze-tung regime, but also that a strong center of free Chinese survival should be maintained somewhere.

In the light of these points, let me review our possible alternatives of action in Formosa.

First. The first and easiest course is hands off—which means handing Formosa to the Communists. That is inevitable if we keep hands off. This is the course the President intends to pursue, according to his announcement of January 5. Without in anyway questioning his sincerity or that of his advisers, I suggest that this decision, taken, unfortunately without consulting with Members of the Congress, who are deeply concerned with this question, is no policy at all but an admission of defeat. It means abandoning hope for a free China in this generation. If it remains our policy, the cause of freedom everywhere will suffer immeasurable damage, and the security of American defenses in the Pacific will receive a heavy blow. This is the course of despair, and, personally, I reject it utterly.

Second. A second alternative would be for the United States to seek a United Nations trusteeship over Formosa, or a joint trusteeship with the Chinese Nationalists, to continue until the precise status of the island is settled by the peace treaty with Japan. This peaceful and constructive approach would be important to explore if it were feasible, but obviously any such proposal would be defeated by a Russian veto. Although I believe we should keep the United Nations informed of any steps we take with respect to Formosa, it is clear that we cannot possibly work effectively through the United Nations at this time.

Third. A third alternative was very ably presented in the remarks of the Senator from California [Mr. KNOWLAND] last Thursday. In essence, he suggests that we send the Nationalists on Formosa and Hainan both ECA aid, from some $106,000,000 which remains available, and military aid to bolster their defenses, from the President's $75,000,000 discretionary flexible fund and from surplus military equipment available in this country. The Senator from California further suggests that the military assistance be effectively supervised by an able American military mission.

These were among the eight recommendations of the Senator from California, who is interested, as I am, in an active American policy now in support of Chinese freedom. Unfortunately, it seems clear from the remarks of the President and the Secretary of State last Thursday that these recommendations will not be carried out. Therefore, it behooves us if possible to seek another alternative.

I may say that was entirely in support of the Senator from California in his suggestions, in spite of the difficulties that appeared, but I feel the suggestion I am going to make now may be an alternative which we might all consider carefully, and approach with the spirit of seeing whether it cannot be made effective.

In seeking to formulate such an alternative, I have had constantly in mind my belief, already reiterated, that an exaggerated emphasis on the military aspects of the China situation has led us—and the Nationalist Government too—into a neglect of the all-important economic, political, and ideological aspects. I may say that in my view the Nationalist neglect of political, economic, and ideological opportunities, as I discussed them with Generalissimo Chiang Kai-shek, in particular their failure to do anything effective in the realms of political democracy and land reform, enormously eased the path of Communist victory in China.

Fortunately, as I have noted, there has recently been in Formosa a considerable change in the prevailing attitude toward this matter of reform. Important steps have been taken to liberalize the administration of the island and to give the Taiwanese people a larger voice in their affairs. Steps are being taken with ECA cooperation to improve the economy of the island. I agree emphatically with

the Senator from California that those economic steps should continue with our strong support. It appears that this ECA aid will continue with the President's approval. I wish to emphasize that point because the very last sentence of his statement the other day, which appeared to wipe off Formosa, did leave the ECA road open.

These economic and political trends in Formosa deserve the strongest support we can give them. In my approach to this subject I am seeking to emphasize them and to subordinate the military aspects of our commitment in Formosa as much as it is possible to do so. I have two reasons for this.

First, it seems clear to me that we cannot expect any great economic or political progress on Formosa so long as the overriding preoccupation is with military preparation and military operation. It is my hope, as I shall explain in a moment, that with American support Formosa can become a truly democratic going concern—a testing ground of free Chinese democracy. I think Senators will generally agree with me that Formosa cannot move far in that direction and at the same time be maintained as an armed camp. The two descriptions are to a large extent mutually exclusive; we must choose one or the other, certainly, for our main emphasis.

My second reason is even more persuasive, because it touches directly the security of the American people. My able colleague, the Senator from Oregon [Mr. MORSE] stated my concern very clearly—the concern of all of us, I know—when last Thursday in this Chamber he asked this question:

> Are we then not running a serious danger, if our intervention takes even the form of military advisers or the supplying of war matériel, of an open conflict with the Chinese Communists over Formosa, a conflict which might be interpreted as an act of war on our part?

To this the Senator from California [Mr. KNOWLAND] replied that he did not think so, but that certainly no prudent man would say that was not a possibility to be reckoned with.

I myself think that open war between ourselves and the Chinese Communists, leading possibly to a wider and still more terrible conflict, would be a distinct possibility if we committed ourselves in an unlimited military way to the Nationalist cause in Formosa. And that would be a tragedy to which none of us would wish to expose the United States.

Fourth. That is why I have taken it upon myself to try and seek still another alternative of action in Formosa. It should be a course which the President could accept in the light of his statement of last Thursday barring direct military aid to the Nationalists in their prosecution of the war from Formosa. It should be a course of action which is predominantly peaceful and constructive. It should demonstrate for all the peoples of the Far East the true nature of American aims in the world—our desire to promote peace, personal freedom, democracy, and economic well-being. I realize fully the difficulties imposed by the imminence of Communist assault on Formosa. But I desire in all seriousness to share with my colleagues in the Senate my thoughts on this matter, so far as they have developed.

My first suggestion along this line was made in a letter which I sent to the Secretary of State on December 27, 1949. That was quite a number of days before the President's decision. I ask unanimous consent to have this letter in full inserted in the RECORD at this point.

The PRESIDING OFFICER (Mr. SPARKMAN in the chair). Without objection, it is so ordered.

The letter is as follows:

DECEMBER 27, 1949.

MY DEAR MR. SECRETARY: Following up my previous suggestion to you and the recommendation made in my report to the foreign Relations Committee of the United States Senate, I desire to submit some further suggestions with regard to the Formosan situation.

In light of the fact that the United Nations by resolution in which the United States joined, referred the matter of the Nationalist complaint against Russia to the Little Assembly, I assume that recognition of the Chinese Communist Government by the United States will be postponed for the present.

Since the Nationalist Government is now headquartered on the island of Formosa, we have a situation that demands the immediate attention not only of the United States but also of the United Nations.

The following factors seem to me necessary for consideration in this matter:

A. Understanding was given to the Nationalist Government of China at the Cairo Conference that Formosa would be returned to China in the eventual settlement of the peace with Japan;

B. The Chinese Communists have conquered practically the entire Chinese mainland and can be expected to demand that Formosa be turned over to them, with threat of military aggression if the demand is not complied with;

C. From a strategic standpoint Formosa must not be allowed to fall into hands that are hostile to the United States, since such an occupation would seriously threaten our island defense line running from Japan south through the Okinawa group and through the Philippines;

D. Since the Japanese peace treaty has not as yet been signed, Formosa is still legally a part of Japan where the United States, representing the conquerors of Japan are now in occupation.

With these factors in mind I respectfully suggest the following procedure:

I. The United States should immediately engage in informal conversations with Mr. K. C. Wu, the new Governor of Formosa, with the purpose of arranging for the occupation of the island by the United States. Since the United States, representing the conquerors of Japan, is now in occupation of Japan the logic of the situation would seem to suggest that the United States should also be in friendly and peaceful occupation of Formosa until such time as the ultimate sovereignty of the island is determined. Inasmuch as the Chinese Nationalist Government was our ally in the last war and is still recognized as the legitimate government of China, we might consider a joint occupation pending the conclusion of the Japanese peace treaty.

II. The United States should explore with the Nationalist Government the possibility during the occupation of either (a) the suspension of aggressive hostilities against the Communists, including the blockade, or (b) carrying on such activity from some base other than Formosa, such as Hainan. The success of any further aggressive action on the part of the Nationalist Government appears extremely doubtful and the Nationalist Government might welcome the opportunity for the temporary cessation of hostilities during the period of this occupation. The Nationalist Government would be supported by the United States if necessary against aggression by any outside force, but it should preferably not be used during the period of occupation as a base for aggressive operations against the Communists on the mainland.

III. The period of occupation of Formosa by the United States alone or jointly with the Nationalist Government should envisage the establishment of a form of democratic government participated in by the Formosan people themselves, and the building up of a democratic and socially just economy. From my conversations with Mr. Wu when I was in Formosa last October, I am convinced that he is one of those Chinese Nationalist leaders who has been advocating a reform and rehabilitation program for the Chinese people and who feels that on the island of Formosa such a program could be put into effect with the cooperation of the Formosan people themselves. Such a development would contemplate the ultimate economic self-sufficiency of the island. Our own ECA funds have already been used in initiating such a development, and I note in the papers that our ECA officials on Formosa after consultation with Mr. Wu, are recommending the use of additional ECA funds on the island.

Such a development in Formosa might well become a pattern of reform and reconstruction for the provinces on the Chinese mainland, if and when that territory is eventually liberated.

IV. A full report of this action, if taken, should be made to the United Nations, stating that our purpose is to maintain the peace until the ultimate sovereignty of the island can be determined.

The course suggested seems to me to be the sound approach to this difficult problem, having in mind the best interests of the existing Government of Formosa, the Formosan people themselves, and the strategical importance of the island as far as the interests of the United States are concerned.

Always cordially yours,

H. ALEXANDER SMITH.

Hon. DEAN ACHESON,
Secretary of State,
Department of State,
Washington, D. C.

Mr. SMITH of New Jersey. Let me repeat here the four recommendations I made in that letter, without reading the entire letter:

I. The United States should immediately engage in informal conversations with Mr. K. C. Wu, the new Governor of Formosa, with the purpose of arranging for the occupation of the island by the United States. Since the United States, representing the conquerors of Japan, is now in occupation of Japan the logic of the situation would seem to suggest that the United States should also be in friendly and peaceful occupation of Formosa until such time as the ultimate sovereignty of the island is determined. Inasmuch as the Chinese Nationalist Government was our ally in the last war and is still recognized by us as the legitimate government of China, we might consider a joint occupation pending the conclusion of the Japanese peace treaty.

That was the first point I made in my letter of December 27 to the Secretary of State.

Here I wish to make it clear, Mr. President, that by the word "occupation" I do not mean to imply the sending of American troops to Formosa, but simply the establishment of a joint political

authority and responsibility there between ourselves, the Nationalists, and the Formosan people. I do not think it is necessary to send one soldier there. I think this matter can be approached from the other angle.

My letter continues with the second point, and this I wish to emphasize:

II. The United States should explore with the Nationalist Government the possibility during the occupation—

By occupation, I mean the period until the peace treaty is settled and the final disposition of the island can be determined—

of either (a) the suspension of aggressive hostilities against the Communists, including the blockade, or (b) carrying on such activity from some base other than Formosa, such as Hainan. The success of any further aggressive military action on the part of the Nationalist Government appears extremely doubtful and the Nationalist Government might welcome the opportunity for the temporary cessation of hostilities during the period of this occupation. The Nationalist Government would be supported by the United States if necessary against aggression by any outside force, but Formosa should preferably not be used during the period of occupation as a base for aggressive operations against the Communists on the mainland.

III. The period of occupation of Formosa by the United States alone or jointly with the Nationalist Government should envisage the establishment of a form of democratic government participated in by the Formosan people themselves, and the building up of a democratic and socially just economy. From my conversations with Mr. Wu when I was in Formosa last October, I am convinced that he is one of those Chinese Nationalist leaders who has been advocating a reform and rehabilitation program for the Chinese people and who feels that on the island of Formosa such a program could be put into effect with the cooperation of the Formosan people themselves. Such a development would contemplate the ultimate economic self-sufficiency of the island. Our own ECA funds have already been used in initiating such a development, and I note in the papers that our ECA officials on Formosa after consultation with Mr. Wu are recommending the use of additional ECA funds on the island.

And, of course, the President in his recent statement expressed apparently his desire to go ahead with ECA funds on the island.

Such a development in Formosa might well become a pattern of reform and reconstruction for the provinces on the Chinese mainland, if and when that territory is eventually liberated.

My fourth recommendation in my letter to Secretary Acheson was this:

IV. A full report of this action, if taken, should be made to the United Nations, stating that our purpose is to maintain the peace until the ultimate sovereignty of the island can be determined.

That, of course, is the most difficult one in the approach which I tried to develop in my letter to Secretary Acheson.

Let me expand on the second point in this approach which I tried to develop in my letter to Secretary Acheson, that—

II. The United States should explore with the Nationalist Government the possibility during the occupation of either (a) the suspension of aggressive hostilities against the Communists, including the blockade, or (b) carry on such activity from some base other than Formosa, such as Hainan—

Or some of the other islands they have been using for their aggressive activities.

My purpose in proposing such a policy is twofold: to avoid the antidemocratic and antiprogressive influence of the armed camp on Formosa, so that reasonable hope may be entertained for political and economic progress; and—even more vital from the standpoint of American interests—to avoid the possibility that our intervention in Formosa would draw us into an unlimited military commitment and an eventual shooting match with the Communists and even the Russians.

For this purpose the United States might well go beyond the above suggestion. I believe the United States could and should make the following stipulations, or should at least expore them, as a prior condition of our giving aid to the Formosa regime:

First. All aggressive action against the Communists from Formosa shall cease. Remaining military activity on Formosa shall be restricted entirely to a defensive state of readiness against the possibility of Communist assault on the island from the mainland.

Second. Formosa shall be governed by a regime jointly agreed upon by the Chinese Nationalists and by representatives of the native population. The policy of this regime shall be to develop the economy of the island for the benefit of the population, and to establish firmly the institutions and practices of democratic self-government.

I ask my colleagues to note this point, because this is one, of course, which has controversial features, but I submit it as a sound approach:

Third. Under its authority as the occupying power in Japan, the United States will supervise the carrying out of these conditions and will guarantee the nonaggressive status of the island. American authority over Formosa will continue, on the terms laid down, until further determination of the island's status under the Japanese peace treaty. All these steps, and the policy underlying them, would be reported by us at once to the United Nations. I am thinking not only of the fact that there are two warring factions in China; but on the island of Formosa there are 7,000,000 natives, natives of Taiwan or Formosa, who would be subject to a slaughterhouse if, for example, an air war should be carried on over that island.

Under such a formula, in my judgment, the United States could still pursue its historic policy of friendship and support for a free Chinese people without assuming a dangerous and unlimited military commitment, and without giving aid and comfort to any Nationalist leaders who may entertain the foolish notion that American aid will help them reconquer China from Formosa by force of arms. I think such a formula, by granting an adequate defense to the Nationalists on Formosa—because that is what we would do—while committing them to forswear any aggressive intentions, would go far to deter the Communists from an invasion attempt. But at that point, we can think in terms of the suggestion by former President Hoover and by our colleague the Senator from Ohio [Mr. TAFT], namely, that on the defensive side it might be well or necessary to send a few warships into the area. I am thinking only in terms of defense, and eliminating all possibility of aggressive warfare on the island. If in spite of this the Communists should attempt an invasion, I am sure that American support would inspire the very capable Nationalist forces to give a very good account of themselves. With a change in policy designed to give the Formosan people—that is the natives—a real stake in the peaceful future of the island, any invading Communist army would have to reckon not only with the Nationalist defenders but with the determined resistance of the Taiwan people themselves. I refer to the Taiwan people, with whom I made contact. I am receiving letters from some of them today, wanting us to do something to prevent their being taken over by the Communist regime of China. They are critical of the Nationalist regime, but they want to be taken care of, they want to be protected against the Communists, too.

But in forming a correct policy we must do more than simply consider the avoidance of pitfalls and the avoidance of risks. I do not for a moment deny that risks would be involved in a policy such as I have described. What I maintain is that they are limited risks and that they are worth taking many times over in view of the positive good which would flow from such a step.

While it is true that there are the limited risks, it is essential for us to realize that the alternative risks are far, far greater. Three of these come to mind at once, and these risks we take when we write off China and Formosa, as we have up to date:

First. The extinction of hope for the democratic cause that will spread like a plague through the world if our policy continues to be one of negative reaction. We always hear it said, "No; that cannot be done; that cannot be done." We ask, "What are you going to do?" There is no answer. "Let the dust settle." I should like to point out in this connection especially that this is true of Europe as well as Asia. We are not simply dealing here with the Asiatic problem but with the world problem. What will it mean to the countries of eastern Europe if we have no adequate counterstrategy for the countries of eastern Asia?

Second. The second alternative risk is the lowering of American prestige which will follow such an extinction of hope. And the hope there is. One cannot go into those areas without finding hope. Think of the Koreans. Think of all the people there who are trembling because of what may happen next, since, as they feel, we suppressed the Nationalists. They want to find freedom. They look to the United States to show the way.

Third. The third is the endangering of our own security which in spite of confident pronouncements from the State Department is painfully obvious

from a glance at the map. It must deeply concern the mind of the American people that the advice of the men who are chiefly responsible for our victory in the Far East, the men who have lived with the military strategy of that area over a decade, should be discounted in these critical decisions.

Let me enumerate some of the good consequences which I believe would flow from this policy of promoting a peaceful, nonaggressive, democratic Formosa under American and free Chinese auspices.

First. We would effectively protect the line of American strategic defenses in the Pacific.

Second. We would make possible the establishment of a non-Communist Chinese Government which would become a model for all China politically, economically, and socially. It would be a testing ground and show place for the values of true democracy in China. For the people of the mainland it would offer a revealing contrast to the oppressive character of the Communist regime.

Third. We would set up a rallying point for all the Chinese who desire a peaceful and democratic evolution for their country. From my own acquaintance I know how many Chinese leaders there are who have not lost hope for the fulfillment of this ideal. Once enabled to work for democracy without the overwhelming disadvantages of militarism and dictatorial suppression of liberty, these moderate, prodemocratic Chinese could find in the new Formosa a testing ground and workshop for the carrying out of their ideals.

There are many instruments that could be directed to this end. There are thousands of men and women—I am hearing from them all the time—who are looking to America to give to the world a new faith in democracy and a new insight into its moral implication. The opportunities for such training are wide open to us in Formosa through the University of Formosa, through the schools, through films, radio, lecture programs and the setting up of training centers for selected leadership. We would have a new mission for our Voice of America, which needs a new mission so far as the Far East is concerned, a new point of view, to be given from America, of what we are driving at.

Some may question, in view of the record of the government of Chiang Kai-shek on the mainland, whether it is prudent to expect that he will lend himself to any such effort to develop democracy. From my knowledge of his personal career and from the interview I had with him on Formosa, I am convinced that he would gladly join in such a program. Of course, I did not develop this program fully with him; I did not have the opportunity; and I had not gone through it, but his whole attitude was one of sincere interest in the challenge I gave him that the Nationalist Government, or that the leaders in his group had not offered anything to the Chinese people in the way of reform and rehabilitation in competition with the Communists' promises. Away from preoccupation with and demoralization of war, I have strong hope that he will accept the American democratic challenge and exert his leadership to put into effect the principles of democracy and economic construction which he inherited from Sun Yat-sen. I think he feels that is something he would like to have an opportunity to undertake before he is deposed, or before he goes down to defeat.

Fourth. Finally, by adopting this policy toward Formosa, we will give great faith and hope to the non-Communist peoples of the Far East. As I observed in reporting on my travels in that area, the urgent aspirations of all the far-eastern peoples, with whom we will be dealing more and more in the near future, are for national independence, democratic self-government, and economic development. These are goals which they must largely achieve on their own initiative. But the way in which the United States uses its influence and example may well be decisive. It is for us to show the Asiatic peoples that the west does not oppose communism simply for the sake of power or prestige, but opposes communism because we of the west have values that we cherish, values which are essentially the same as theirs, values which communism does not fulfill but on the contrary destroys. A policy of peaceful democratic and economic development in Formosa, under American auspices, would offer a living example of the positive values which we support throughout the world.

A wisely conceived, peaceful American initiative in Formosa would not only be the starting point of a positive policy for China, rallying all those Chinese of good will who believe in the cause of Chinese freedom and democracy. It would not only place a negative barrier against the expansion of world communism into the Pacific. Let me say there that there must be a negative barrier pretty soon or we shall have lost all of Asia. Beyond this, it would stand as a symbol of American policy for all of Asia—a living symbol of our interest in peace, democracy, and material growth.

To me it is vitally important that we achieve not only a positive policy for Asia but a unified policy. Formosa could help greatly in that direction. I believe, as I stated in my earlier report, that we should work for an over-all, unified supervision of American policy in the Far East—a supervision which would embrace all the aspects of our policy, including military strategy, economic strategy, and ideological strategy. I have endeavored to develop my ideas on our proper course in Formosa in the light of this concept of a unified policy.

In conclusion let me emphasize that, reports to the contrary notwithstanding, I never have advocated the forceful seizure of Formosa. Any action that we take there must be with the full cooperation and approval of all concerned. I would be strongly opposed to any policy that might threaten a third world war. I plead for a new approach to this Formosan problem because I see in it an opportunity to turn the tide against communism in Asia and to develop and extend the kind of free government of free nations which we Americans believe in. If a better approach can be developed to this end, I shall support it wholeheartedly. But let us by all means develop an approach which will effectively implement our human values in Asia and throughout the world.

If we continue to hesitate in Asia, if we take the attitude that the cause of a free China is lost and gone in our time, then free men not only in China, not only in Asia, but everywhere will lose their faith in us and in the free life we stand for. The United States today does not have an Atlantic responsibility or a hemispheric responsibility—it has a world responsibility. I urge that we accept this challenge now and that we move.

EXHIBIT A

FAR EASTERN PROBLEMS FACING THE UNITED STATES

(Report of visit to the Far East, September and October 1949, by H. ALEXANDER SMITH, member, Committee on Foreign Relations of United States Senate)

UNITED STATES SENATE,
COMMITTEE ON FOREIGN RELATIONS,
November 29, 1949.

To the Chairman and Members of the Committee on Foreign Relations of the United States Senate:

I am submitting herewith for the consideration of the Foreign Relations Committee and others interested a report of the trip to the Far East which I took with the consent of the Senate, leaving Washington on September 13 last. In this report I have endeavored to indicate the scope of the trip, to present certain over-all observations, and finally to make certain recommendations with regard to our far eastern foreign policy.

I am fully aware of the danger of individuals or groups visiting areas of the world for a short period of time and then claiming to have all the answers. I hope I have avoided this danger.

I do feel, however, as I stated to the committee before I left, that it is vitally important for the members of appropriate committees of the Congress to visit in person the areas in the world where these critical situations have developed. Only by a personal visit can we get the "feel" of a situation and have that independence of judgment which we should have in dealing with the recommendations of policy that come from the Executive.

I sincerely hope that the members of the committee will have the time and opportunity to consider this report.

Always cordially yours,
H. ALEXANDER SMITH.

PART I. REASONS FOR AND SCOPE OF THE TRIP

As I stated on the floor of the Senate in asking consent to take this trip, I felt that the situation in the Far East was so critical that some members of the Foreign Relations and Armed Services Committees should go there as promptly as possible in order to obtain first-hand information which might be of value in dealing with issues of future policy determination.

I am one of those who, since before the close of World War II, has supported our bipartisan foreign policy and has voted for every measure reported to the Senate aimed to bring about the collaboration of the nations of the world to insure the peace. I was an ardent supporter of the United Nations Charter, and have been deeply concerned over its temporary set-back because of the misuse of the veto by Communist-dominated Russia. From the first announcement of the so-called Marshall plan I supported that policy, which was aimed to accomplish the economic recovery and rehabilitation of Europe. During the first years of its operation it has been most effective in halting the creeping paralysis of communism.

For the same reason that I supported the Marshall plan, I have supported the North Atlantic Pact and military implementation of that pact to the end that in the Atlantic area at least we can say, "So far and no farther." We have said clearly to the world that an attack on one of the Atlantic Pact nations would be considered as an attack on all. And we have served notice that the United States will be a participant if there is any breach of the peace in the North Atlantic area. I believe that what we have accomplished this year in setting up the North Atlantic Pact will be another important milestone on the road to world peace.

But at the very moment last summer when this was being accomplished I, as a member of the Foreign Relations Committee, felt completely frustrated because it seemed to me that while we were barring our front door (the Atlantic area), the back door (by which I mean the door to the Far East) was being left unlocked. The iron curtain is quietly being lowered over Asia.

It has been a great surprise to me that, while the administration and the Department of State took our Foreign Relations and Armed Services Committees completely into their confidence and collaborated with us in developing both the Marshall plan a year ago and the North Atlantic Pact this year, we have never been consulted about policy in the Far East. In spite of the great concern of many of us over the future of that area we have been practically told there is nothing to do and that we must wait and let nature take its course—or to use another expression, "let the dust settle." The splendid bipartisan approach which characterized the Marshall plan, the Truman doctrines for Greece and Turkey, and the North Atlantic Pact negotiations, has been completely lacking insofar as the Far East is concerned, and those of us who have felt alarmed over this unfortunate situation have been given the feeling that we were unwelcome meddlers in matters of policy that has already been settled. This was why I felt that someone from our committee should go and try to get the facts first hand.

In order to be certain that my trip would not be an embarrassment to anyone on the ground, I wrote to General MacArthur in Tokyo and asked for his judgment on the matter. He not only invited me to come but expressed the hope that every member of the Foreign Relations and Armed Services Committees could come and see first hand what the responsibilities of the United States are in this critical area. Upon my arrival he thanked me personally for coming. He and others with whom I talked pointed out that while we in the United States naturally are more concerned with Europe because our ancestry is practically entirely European, we seem to be neglecting an area of the world that may well be the decisive factor as to whether there will be a world war III.

Our trip was a rapid one. Mrs. Smith accompanied me and through the courtesy of the Department of Defense our travel and hotel accommodations were splendidly taken care of. Everywhere we went I can testify to the fact that in the Far East at least there is a definite and splendid unification of the armed services, and the men in the field who are responsible for the security of the United States cannot be commended too highly for the effective and inspirational discharge of their duties. From the time that we landed in Tokyo we were enabled to cover an enormous amount of territory because of the full cooperation of General MacArthur and his associates in the military, naval, and air forces.

We visited Japan, Okinawa, the Philippines, Hong Kong, Korea, Formosa, and, on our flight home, the island of Guam, the Trusteed Islands in the Pacific, and the Hawaiian Islands. During this trip we interviewed many people including, of course, the United States high command—military, naval, and air, our State Department officials—ambassadors, consuls and their staffs, native Japanese, Filipinos, Chinese, Koreans, and inhabitants of the various islands. We also had the privilege of interviewing many Americans and British who for years have been living in these areas.

PART II. COMMENTS ON SPECIFIC AREAS

While it is the purpose of this report to comment particularly on the situation in China, I desire to sum up briefly my observations on other specific areas.

A. Japan

Of all the areas we visited Japan stands out as a beacon of light and hope in an otherwise alarming picture. No one could be in Japan for even a short period without realizing that an entirely new chapter in the history of the world is being written.

The cold war with Russia has been described as a war of ideologies—the battle for men's minds. That is definitely true as I will comment later in this report. While we in America have been theorizing about it, Russia has won the cold war in China and in other areas up to date. But in Japan General MacArthur and his splendid group of associates are carrying on this war for men's minds and are demonstrating practically what the western Christian tradition is. General MacArthur is not only commander in chief of our military forces in the island areas but is also supreme commander of the allied powers (SCAP). For the first time in history the victor in a great, devastating war has raised the vanquished to their feet and has not only taught them how to recover and take care of themselves, but has contributed to the cost of their recovery. It is too early, of course, to draw any final, definite conclusions, but I would like to emphasize now that this ideological war is being constructively carried on in Japan. A new Japan may well arise to be the spearhead of a revitalized western Christian tradition in the Far East. We have a long way to go before this can be accomplished, and we, of course, face in Japan, as in other parts of the world, the subversive influences of communism, but Japan under MacArthur is moving ahead and in the right direction.

Another aspect of the Japanese situation impressed us. From our interviews with local Japanese, as well as our own Americans who have been in Japan for some years, we were left with a feeling that an opportunity may be presented to the religious and educational workers who have heretofore been interested in Japan to make a real contribution now. It seems to be admitted that, generally speaking, Buddhism is not increasing, and Shintoism, which involves the worn-out idea of emperor worship, is being discarded. This situation leaves a vacuum for those who have what might be called spiritual yearnings, and this vacuum could well now be filled by aggressive, practical, and inspiring Christianity. This would unquestionably be the best bulwark against the further spread of communism. And it is interesting to note in this connection that an aggressive and positive leadership in this matter is being taken by Japanese women. Women in Japan are free for the first time in Japanese history, and their new freedom is releasing the hidden resources of feminine idealism and fundamental spiritual aspirations.

B. Our strategic line of defense—Japan, the Ryukyu Islands, and the Philippines

We had the privilege of traveling by air as the guest of Admiral Turner Joy of our Pacific Fleet from Japan to Okinawa in the Ryukyu group of islands, and to the Philippines. In making this trip and studying our maps we became aware of the critical importance of the line of islands running north and south and making a bastion of defense in the western Pacific to defend the Pacific islands for which we are responsible and our own American mainland. Certainly I would urge that the members of our Armed Services Committees of both House and Senate should visit this area, confer with our Army and Navy leaders and study the relationship of the western Pacific defense to the Formosan problem, which I will discuss later.

C. The Philippines

As we passed through the Philippines on our way to the China area we were conscious of the "growing pains of a new republic." I wish we could have had more time there because here as well as elsewhere the serious threat of communism is present. We were in the Philippines while the election campaign was getting under way, which involved the reelection of President Quirino. I am happy to note in the recent press that President Quirino was reelected by a substantial majority.

President Quirino was strongly pro-American and a supporter of the independent governmental structure which we in America had helped to create, while one of his opponents particularly was violently anti-American and as a matter of fact had been a Japanese quisling in the late war. The result of the election seems to indicate that the Filipino people as a whole desire to be a part of what we call the western tradition, and for the present at least have their faces set against the Communist menace. But it is clear that their economic situation is serious and will be a problem for us for some years ahead.

D. Korea

After our trip to Okinawa, the Philippines, and Hong Kong, we returned to Tokyo where we made our second journey by air through the courtesy of General MacArthur to Korea, Formosa, Guam, and then home. We went to Korea on General MacArthur's special advice in order to see the young, struggling, new republic on the ground.

As a member of the so-called ECA watchdog committee, I felt a special responsibility to visit Korea inasmuch as our Foreign Relations Committee had authorized an ECA appropriation of $150,000,000 for the rehabilitation of Korea's industries. Before I left Tokyo I had conferred with representatives of our Government who had been in Korea and who gave me a very favorable description of what had happened during this last year. These reports were reassuring because on the transport from Seattle to Japan I had been led to believe by those who were familiar with the situation that it might not be possible to save Korea from the Communist wave. The question that was presented, of course, was whether the United States would be justified in investing an additional $150,000,000 in South Korean rehabilitation if there was imminent danger of South Korea being taken over by North Korea, which is under direct Russian control.

In Korea we were welcomed by our Ambassador, Mr. John J. Muccio and Dr. A. C. Bunce, who is in charge of our ECA operations. In conversations with these representatives and their staffs, and additional conferences which we had with President Syngman Rhee, I came to the conclusion that a further ECA investment in Korea is a justifiable calculated risk. During the Japanese control many important industries were started which give promise, if they can be continued, of making Korea an important industrial area. Unfortunately, while the Japanese were in control, Japanese industrial experts held all the higher jobs, so it is necessary for Koreans who are now taking over to have special training to qualify them for executive leadership. This means that the United States has had to furnish technical experts to train the natives to run these

plants. A year or so ago this situation looked difficult, and coupled with the threat that Northern Korea, dominated by Russia, might take over the entire peninsula, we took a risk in giving Korea our initial ECA aid. Developments during this past year, however, have justified our confidence. As is well known, the new Korean Republic has been recognized by the United Nations and, therefore, in a sense is under United Nations care as well as United States. The Koreans have developed a well-trained army of their own of some 100,000 men, which army it is believed is thoroughly capable of taking care of Southern Korea in any possible conflict with the north.

I was advised that the Northern Koreans had endeavored to enlist the aid of the Chinese Communists in order to take over and conquer the Southern Koreans, but the Chinese Communists turned them down on the ground that they had too many responsibilities in other parts of China. I was also advised that the Northern Koreans tried to get the Russians to intervene directly in taking over Southern Korea but the Russian reply was that they did not wish to initiate world war III by creating an incident in a minor area like Korea. Whether or not this is true, the fact remains that all those I talked with in Korea, which included our people and natives, felt that there was no immediate danger of the absorption of Southern Korea by the north. After all that we have done for the Southern Koreans and our public statements to the effect that we are endeavoring to support the urge for nationalism and freedom of these areas in the Far East, we would be definitely letting down all of the far-eastern peoples if we did not carry through on this Korean project.

I was most favorably impressed by Dr. Bunce and his advisers who are carrying on the ECA operations and I feel that we should give them a vote of confidence by an early appropriation for this further Korean development. While I did not have time to go into all the details of the proposed $150,000,000 authorization, I feel that a substantial sum should be authorized and appropriated so that there will be no stoppage of the pipe line which is taking supplies and materials to the Koreans at the present time.

E. Guam and the Pacific trusteed islands

On our way home by air we stopped at Guam, which is today an American possession, and also in the Pacific trusteed islands, which the United States holds as trustee under action by the United Nations. In Guam we were entertained by Governor and Mrs. Skinner and our military and naval people there, and in our short stay were presented with the problem facing the people of Guam; namely, some sort of organic act to give them status as a Territory of the United States. It is contemplated that the Guamanian Parliament will send representatives to Washington early in 1950 to discuss with us their present status and the kind of legislation they would like to see adopted in order to give them the new status they aspire to.

The Pacific trusteed islands, of course, are a study in themselves, but I took occasion when I was in Guam and Honolulu to discuss the responsibilities we have assumed in this trusteeship. I am happy to note that a subcommittee of the Senate Committee on Interior and Insular Affairs is visiting the islands this fall and doubtless will come back with specific recommendations. We can get some idea of the size of the problem when we realize that the area covered by this group of islands is about the same as the entire United States. These islands are of great importance to us strategically and for our air service to the Pacific, and certainly they cannot again be permitted to fall into hostile hands.

F. Hawaii

On our way home we stopped in Hawaii where we had the privilege of conferring with Admiral Ginrich, Chief of Staff for Admiral Radford (who was in the United States at the time, and Admiral Fiske, who has the immediate responsibility for the trusteed islands. Again we were given the opportunity to see all that there was to see in the limited time at our disposal, and to get the reflections of opinion from these experienced and able representatives of the United States.

PART III. THE PROBLEM OF CHINA

As I stated in an earlier part of this report our main objective in taking this difficult trip was to get the feel of the Chinese situation. We were handicapped in this because of the difficulty and practical impossibility of getting inside China. Again General MacArthur came to our rescue by making it possible for us to go to Hong Kong and later to Formosa, where we had the opportunity of studying some of the problems that exist there. Everywhere we went in the Far East, China is a primary subject of discussion. People with whom we talked are divided into two main classes: first, those who follow the general line of United States policy and look upon the Nationalist cause as completely washed up; second, those who are sharply critical of the United States policy, who feel that we are largely to blame for the let-down of morale of the Nationalists and who feel that there is still salvage in the existing situation, desperate though it is. We are compelled to face the fact that the situation is desperate and without seeking to lay the blame as to where the fault lies at the moment, our immediate objective is to find a formula for the future.

In Hong Kong in addition to conferring with members of our American consulate we had the privilege of talking with the British authorities. It is interesting to note that the attitude of the British has been and probably will continue to be fundamentally different in its approach to the problem than ours. The British have a commercial stake in the Far East that we have never had and in their present precarious financial condition they have every incentive to preserve that stake and save what they can. I fear that this commercial pressure on them will prevent their taking the long range view and may lead them to immediate policies of appeasement and conciliation, which may well be a threat to the entire future of the Far East. Hong Kong is a British colony and the British intend to defend it at all costs. They have increased their military forces, their air forces and their navy, and probably from a purely military standpoint they would out-match the Chinese Communists. The great danger of their position, however, is that Hong Kong is an island with an inadequate food and water supply, and with an over population at the time because of the influx of refugees from other parts of China. As food and water would have to be brought in from the outside and as the Chinese population itself might be led by subversive influences to revolt, it is readily conceivable that Hong Kong might fall just as it did in World War II, and as Singapore did in that war.

This suggests that the British would be prepared to recognize the Chinese Communist Government in exchange for a hands-off policy in Hong Kong, and in exchange for trade relationships which are being pressed on the British by their business interests in Singapore, Hong Kong, and other Chinese cities. It is my judgment that the British are desirous of taking the step of recognition in order to calm down the difficulties of the moment, but they would hesitate to do so unless we join them in this move. As I will point out later in the recommendations of my report I am strongly opposed to recognition of the Chinese Communist Government because I feel that the movement was inspired in Moscow, the present Chinese leaders were trained in Moscow, they are now being directed by Moscow, and they are being supplied by Moscow. We should no more recognize the Chinese Communist Government than we should recognize Russia itself if she was the foreign invader of China and had conquered China.

It was our privilege to talk with American-trained Chinese who have the vision of the Western Christian tradition and who, I believe, would sincerely make any personal sacrifice to save China from the dangers that now threaten it. We had the privilege of conferring at some length with Generalissimo Chiang Kai-shek, who in spite of all the mistakes that he has admittedly made in dealing with this situation, is nevertheless, in my judgment, one of the most important figures that World War II produced, and who still has much to contribute to the salvation of his country. In our conference with him we purposely avoided discussion of any further military assistance. We made it as clear as we could that we were not thinking in military terms so that there could be no possible implication that further military aid would be forthcoming. What we did stress was that the Nationalist Government had not offered the Chinese people any program of reform and rehabilitation which competed adequately with the Communist promises. We pointed out that even on the island of Formosa which had formerly been Japanese territory the Nationalists, when they took over, could have made the island an ideal Chinese province with all the reforms that the Chinese people were yearning for. Unfortunately the island has had two Nationalist governors, both of whom had the purely militaristic point of view, and who treated the Formosan people not as liberated Chinese but as a conquered population. It is to be hoped that the new governor, by whom we were entertained and who impressed us very favorably, may show a complete about-face in this tragically erroneous policy.

A difficulty with the Nationalists today is that there are two groups competing for control. One is a military group, thinking only in military terms, and the other is a civilian group which is laying more emphasis on agrarian and other reforms. The United States has been handicapped in its effort up to some months ago to give military aid because the aid that we turned over to the Nationalist Government apparently quickly found itself in Communist hands. The mistake that we made in this respect was in not having an American controlled set-up, which could insure that the aid reached its ultimate intended destination. There has unfortunately been serious mismanagement and inefficiency by the Nationalists, and these are the dangers which have determined our policy to furnish no further military aid under present conditions.

The facts of the Chinese situation can be fairly simply stated. The morale and leadership and the strength of the Nationalist Government, which was the foundation of Chiang Kai-shek's brilliant leadership in the war against Japan, has collapsed because of military mistakes and internal jealousies. It has also collapsed because of the thread of misunderstanding and ineptness on our part which runs through the whole post VJ-day story. My own judgment is that we did not thoroughly understand the Chinese psychology and we seemed to come to the conclusion that the only alternative to further military aid was complete abandonment or at least temporary inaction, which to them was the same as abandonment, and contributed to the break-down of whatever morale was left.

From our personal contacts I am prepared to deny the unfortunate propaganda that

all Chinese in the Nationalist ranks are corrupt. Many of the finest Chinese that we met still stand by the Nationalist cause. They were not able to prevail probably because democratic processes have not yet been set up in China. The Nationalist Government has remained too military. We were advised that many honest men did all they could to induce the "Gimo" (Chiang) to bring in essential reforms. But the Gimo's experience has unfortunately been with the sword and he finds difficulty in really taking the "reform" approach seriously. The weakness of the Nationalists has not primarily been corruption, as so often and, I believe erroneously charged, but a leadership that has not really understood Western democracy.

And that is why I want to stress that in my judgment, we have overlooked a far more important factor in this situation than mere military aid. That factor is what might be called the psychological or ideological factor which could have meant support and backing for those high-minded Chinese whom we well knew and who were seeking reform and who should never have been given the discouragement that came from the feeling that their old traditional friend, the United States, had abandoned them in their time of greatest crisis.

PART IV. OVER-ALL OBSERVATIONS

The situation in the Far East is admittedly very complicated with currents and cross-currents making it difficult for any complete diagnosis. On such a short trip as we took I would hesitate to try and draw any final conclusions, and I agree with those who have stated that our attitude must remain flexible because of the constant day to day changes in the picture. With this emphasis on flexibility I would like to make the following general observations:

1. Nationalism and freedom

It is immediately obvious to anyone visiting the Far East that there is a widespread yearning among all peoples in this area to express their own nationalism and to be free from external controls. There is definitely a revolt against imperialism in any form and the traditional colonialism. This leads to a propaganda of hatred toward foreigners which, of course, the Chinese Communists have capitalized on. The Russians, being familiar with the Far Eastern psychology and the traditional opposition to foreign invaders in the China area, have been smart enough not to open themselves to that attack. Consequently, as they have also done in the satellite countries of Europe, they have made their penetration by training nationals to carry the torch for them. Whatever policy we adopt in the future must recognize this normal and commendable urge for self-expression.

2. Economic reform and rehabilitation

In addition to this yearning for nationalism and freedom there appears to be an urge for economic reform and rehabilitation. The threat of famine and hunger is always before these masses in the Far East. Here, again, the Chinese Communists have sensed the need and furthermore their promises of agrarian and other reforms have had great weight in weaning the people away from the Nationalist government, which failed to offer any reforms when it had the opportunity.

3. Need of American "Far East-mindedness"

In talking with representatives of the United States it seemed apparent to me that those who are on the firing line in that area feel that the people back home whom they represent are more concerned with the problems of Europe and the Near East than with the far-eastern problems. This is understandable and explained by the fact that practically all of us in the United States come from European ancestry and, therefore, we naturally think in terms of the type of problems that Europe presents. Europe is so much nearer to us in our thinking that the threats coming from Europe are more realistic than the far distant Asia. In spite of this fact, however, it is clear that in Asia we have an area comprising an enormous part of the entire world's surface, with a population of upward of a billion people, and that while we are preoccupied with Europe the real threat of world war III may be approaching us from the Asiatic side.

4. A divided authority

I discovered in the areas visited a feeling that our United States representatives were handicapped in their handling of Far East problems because we are dealing with them in compartments rather than as a whole. There is a divided command. General MacArthur has general supervision of Japan and the islands lying south of Japan and running through the Philippines. This is today our Pacific line of defense in the Far East. In addition he is doing an outstanding job in Japan in the difficult role of conqueror occupying the land of the conquered. But he is in the embarrassing position of having nothing whatever to do with the mainland of Asia, which is under the jurisdiction of our naval forces. Our military and naval commanders with whom I talked seemed to be agreed that there should be a unification of authority in the entire area, and also that an over-all ideological as well as purely military approach to the problems was necessary if we were to meet the challenge that communism is making to millions of these people. The policy of "let the dust settle" completely ignores this other and more important approach.

I was left with the definite impression that in the Far East there is no one finger on the pulse of all the problems in which all of these countries are so intimately related. Certainly from the military and general strategical point of view th's is a critical weakness.

5. The military future

While the final chapter has not yet been written so far as the military operations in China are concerned, it seems clear that at the present moment the military phase of the so-called Chinese Civil War is critical. The Chinese Nationalist government, which had received our support and on which we pinned our hopes, and Generalissimo Chiang Kai-shek, whom we believed would be the bright shining star in the Far Eastern firmament, have both shown serious weaknesses so far as military operations are concerned. Whether what is left of the China mainland can be held by the Nationalists, or whether Formosa can be defended are questions not yet answered.

These are problems that should be given immediate attention by whatever agency is set up by us to determine the most effective use to be made of the $75,000,000 flexible fund. This was the special fund appropriated by the Congress to be used by the President to stop the spread of communism in China and the Far East.

6. The morale factor

In talking with people whose views represent both sides of the Chiang Kai-shek controversy I came to the conclusion that there was a tendency to think that the only alternative to further military aid to the Nationalist government was the abandonment of China entirely. In talking with prominent Chinese leaders, whom I found had ideals for China other than mere military victory for the Nationalist government, I sensed a feeling of despair because of their abandonment by the United States at this crisis in their history. Since the days of the Boxer indemnity scholarships, the open door, and our strong stands for China's territorial integrity, advanced Chinese thinkers have looked to the United States for advanced Chinese thinkers have looked to the United States for leadership in the areas of education and in spiritual advancement. These thinkers emphasized the point that as serious as the loss of our military support was, there was even more serious loss to the Chinese people of those morale-building factors which Americans and American-trained Chinese had heretofore contributed. It would seem as though in our dealings during the last few years with the Chinese we underestimated the importance of this distinction between morale-building factors and mere military might. Consequently our most recent contributions of military supplies, and especially the last $125,000,000 under the ECA bill of last year, were of no value whatever since prior to the turning over of those supplies the morale of the people had collapsed.

7. "Salvage" in the situation

Because of this morale factor, which it is very hard to define and lay our hands on in a practical way, I feel that there is a "latent salvage" right now in the situation which we cannot afford to neglect. There are Chinese leaders with whom I talked in Hong Kong, in Tokyo and in Formosa who are, figuratively speaking, holding out their hands to us with a plea to continue to believe in their basic objectives and to continue to help them maintain their courage against these tremendous odds of military defeat. These are the real standard bearers against the creeping paralysis of Russian-inspired Chinese communism. These individuals might well be described as oases in the vast desert of China, and I have no doubt that through the entire area there are those who would daily to a courageous ideological approach aimed at Chinese rehabilitation.

PART V. SPECIFIC IMMEDIATE RECOMMENDATIONS

In light of these general observations what recommendations can be made for positive, constructive action at this time?

In considering this question I want to emphasize again that I have no final and conclusive answers and, therefore, what I am suggesting is simply an approach to the whole problem and an honest recognition of its difficulty and immensity.

What I am pleading for is an attitude of mind by us which will give hope and courage to those who are still willing to remain faithful to what they believe in. In this spirit I make the following specific recommendations:

1. A united far eastern command

Our over-all command in the development of our policy in the Far East should be unified in one control such as General MacArthur has so ably demonstrated in Japan, which will recognize not only the strategic military problems of the area from the standpoint of the security of the United States, but also and especially will appreciate the fact that we are engaged in an ideological war—a war to capture the minds of men.

2. The $75,000,000 flexible fund

In order to make the most effective use of the $75,000,000 flexible fund, there should immediately be appointed a committee or agency, familiar with the situation from experience on the ground. This agency would advise the President as to the practicability of military projects which might be developed to carry out the fund's objectives.

Specifically I suggest that such a committee be made up of such outstanding men as General MacArthur, Admiral Badger, General Wedemeyer, Admiral Berkey, General

Chennault, and Ambassador Leighton Stewart.

Such a committee would certainly have the united approval of the American people.

3. No recognition of Chinese Communist Government

Inasmuch as the practically unanimous opinion of all those with whom I talked was that the present Communist movement was originally initiated in Moscow, its leaders were trained in Moscow, and it is now being directed from Moscow, I am opposed to any recognition of the Chinese Communist Government by the United States. The Chinese Communist advance is definitely an alien invasion and is undermining the aspirations for nationalism and freedom which all of these far eastern countries are struggling to attain.

4. Program of reform and rehabilitation—No military aid

While I would recommend that we continue our present recognition of the Nationalist Government as long as it survives, I would leave the question of further military aid to the discretion of the President, acting with advice of the agency to be set up under recommendation 2 above. As a policy we should emphasize primarily the importance of the development of an ideological program of reform and rehabilitation, which should be practically applied immediately in the areas still occupied by the Nationalists.

What I mean by this is that there should be developed such a reform program in the non-Communist western provinces, in the area of Chungking (until and unless Chungking falls), on the island of Hainan, and particularly on the island of Formosa. On the island of Formosa there is an outstanding opportunity to develop for the Formosan people themselves a program which would mean the assurance of their freedom and the rehabilitation of their industries, and especially their agriculture. I believe that this possibility should be explored immediately with the Nationalist Government now in control of Formosa and with the Taiwan people themselves, who are opposed both to the Chinese Communists and also to the Nationalists. I believe that the Taiwan people would cooperate with the Nationalist Government in setting up through our ECA operations a type of recovery which might be an example to other provinces in China now in desperate need. Furthermore, Formosa is ideally located for the development of our Voice of America program which, however, I would not call the "Voice of America," but rather the "Voice of the New China."

5. Formosa must not fall into hostile hands

I recognize that because of the unsettled conditions on the island of Formosa today, the previous proposal might be difficult of accomplishment. But whether or not that proposal could be accomplished, it is my urgent recommendation that under no circumstances must we let the island of Formosa fall into hands hostile to the United States. This is not only because Formosa might be the last bastion opposing the Communist wave in China, but also because Formosa, if in hostile hands, would threaten the island bases in the eastern Pacific from Japan to the north and down through Okinawa and the Philippines in the south.

At the present moment Formosa has an uncertain legal status. It was a part of Japan prior to World War II. It is occupied today by the Chinese Nationalist forces because it was agreed at Cairo that it would be returned to China at the conclusion of the Japanese war. Technically, however, until the peace with Japan is ratified the area is still a part of Japanese territory and could be included in our Japanese military occupation. I recommend that this situation be carefully explored with the further recommendation that any possible steps taken should be reported at once to the United Nations with an expression of determination on our part to keep the island out of the war area and to assist in its economic development. We might explore the possibility of a United Nations trusteeship pending such time as the ultimate sovereignty of the island could be determined.

6. Admit and correct mistakes

I recommend the following moves to correct what appear to be mistakes of policy:

(a) Discontinue making Chiang Kai-shek and other Nationalist leaders "political lepers." With all their alleged mistakes they merit our interest and help. They can help build the New China.

(b) Discontinue our present policy of watchful waiting and become positive in our support of anti-Communist resistance in the Far East.

(c) Do not permit short range financial pressures to outweigh long range ideological objectives.

7. Over-all advisory group

I recommend that in order that we may keep our hands on the day-to-day changes in the far-eastern situation, that we continue the advisory committee appointed by the Secretary of State: Ambassador-at-Large Philip Jessup; Raymond B. Fosdick, former president of the Rockefeller Foundation; and Everett Case, president of Colgate University; and that we support this advisory committee by the appointment of a subcommittee of the Congress chosen on a bipartisan basis from the Foreign Relations and Armed Services Committees of the Senate and the corresponding committees in the House.

Should such a group of continuing advisers be appointed, I would recommend that the whole group or at least a subcommittee thereof proceed immediately to the Far East to observe conditions on the ground and to make specific recommendations for positive action.

8. Areas other than China

The foregoing recommendations are directed primarily to the difficult Chinese problem, but I would not limit our investigation and consideration to that single area. We have the problem of Korea to which I referred earlier in this report and which I had the privilege of visiting, and I feel that we are justified in carrying out an ECA rehabilitation program in light of the splendid progress the Koreans have made during the past year.

In addition to Korea, however, and the other areas which I have discussed earlier in this report, we must give consideration to the area bordering on China on the southwest, particularly Burma, Thailand (Siam), and French Indochina.

When Congress authorized the flexible $75,000,000 fund for military aid to be used in the area of China where the Communist advance might be threatening, it was definitely realized that there might be trouble in these spots and that prompt military aid might be justified. During my trip I was advised that there are at the present time real disturbances in Burma and French Indochina, but I was also advised that Thailand (Siam) is in the best shape politically and is strongly anti-Communist. All these areas need our immediate careful study and probable aid. The advisory agency provided for in recommendation 2 should make a study of these areas at once.

CONCLUSION

The time for effective action is now. America united on a far-eastern policy can and must definitely halt this creeping paralysis of communism, which today threatens every freedom that our forefathers fought, bled, and died for on this continent. A firm stand now is a way by which we can avert the horrors of a third world war.

Throughout our entire trip whether we were in Japan, in the Philippines, in Korea, or in parts of China, we could seem to sense the deep yearning of people for a new leadership which would mean freedom from superimposed controls and an end of war and fighting. This is an obviously difficult ideal to be attained, and it can only be attained if the powerful, peace-loving nations of the world courageously stand together against aggression and the rule of might. This may call for an early reconsideration of the United Nations Charter and a new approach to international cooperation to establish the rule of law and the protection of the weak against the aggression of the strong.

As we traveled and talked to people with different viewpoints we felt that this yearning for nationalism and freedom was bringing people closer together in an understanding in the truest sense of the brotherhood of man. People were meant by the great design to be free and to live together. It was never meant that any people on this globe should be subjected to the domination and control of any other people. The yearnings in the Far East and in other parts of the world for freedom is an expression of the recognition of these eternal truths.

The sympathy of the United States for these yearnings and the determination of our people to aid in this eternal quest for freedom must continue to be the foundation of our foreign policy.

NOVEMBER 29, 1949.

Mr. KNOWLAND. Mr. President, will the Senator yield for a few questions?

The PRESIDING OFFICER (Mr. SPARKMAN in the chair). Does the Senator from New Jersey yield to the Senator from California?

Mr. SMITH of New Jersey. I am glad to yield.

Mr. KNOWLAND. I first want to commend the able Senator from New Jersey, who is a member of the Foreign Relations Committee, for having presented a very thoughtful discussion of this subject relative to the Far East although I see some very practical difficulties in the way of his so-called alternative, not the least of which, I am fearful, is the fact that it might be in effect like taking the Sudetenland away from the Czechs. In other words, their hope today of resisting communism rests pretty largely in the island of Formosa, and it would probably be most difficult for Hainan to be supported by the National Government of China if Formosa became jeopardized; so we cannot completely dissociate Hainan Island from the Formosan problem. But, at least, the Senator has presented a suggestion which is worthy of consideration.

I should like to ask the able Senator, since he is a member of the Committee on Foreign Relation and is familiar with the fact that on the 23d of last December the State Department sent out to its representatives abroad a memorandum which stated flatfootedly that Formosa had no strategic value, if he can give the names of the members of the committee within the State Department who drafted such memorandum.

Mr. SMITH of New Jersey. I regret to say that I cannot. I have tried to find out who they were. I have been advised that the document was prepared by some of those members of the State Department who, a few years ago, were in the Far East and who, in approximately 1943 or 1944, sent back the first messages apparently supporting the new Communist agrarian reform movement, and apparently depreciating the Nationalist

Government, forgetting that that government was carrying the load of the war against Japan, forgetting that it was doing the best it could against terrific odds, and especially in light of the fact the Senator brought out so ably last Thursday that our own policy certainly let down the Nationalist Government at Yalta, where the Manchurian question was disposed of without giving the Chinese any credit or voice.

Mr. KNOWLAND. I may say, if the Senator will yield further, that I made a request on the day the press association carried the report from Tokyo of the December 23 memorandum, that, as a member of the Senate Armed Services Committee and of the Senate Appropriations Committee, a copy be furnished to me. That request was denied at the time and it has not as yet been complied with. I then submitted, under date of January 7, the following letter to the Honorable Dean Acheson, Secretary of State, which I should like to read into the RECORD at this time, because I think it is appropriate to the Senator's remarks:

JANUARY 7, 1950.

Hon. DEAN ACHESON,
Secretary of State,
State Department,
Washington, D. C.

DEAR MR. ACHESON: I called the State Department this morning to request the names of the committee which had been responsible for drafting the December 23 memorandum advising the State Department personnel that Formosa had no strategic value.

I first attempted to get Mr. Peurifoy in the Personnel Division, but he was out of the city so I talked with Mr. Bryan and made the request of him. He said he had to take it up with higher authority. At about 11:15 this morning I received a call from Mr. George Kennan who stated that both Secretary Acheson and Under Secretary Webb were out of the city. However, he stated that the State Department itself assumed responsibility for any such information sent out and that he felt that he must decline to give me the names of the persons constituting the committee which drafted the document.

I emphasized to him that I felt that as a Member of the Senate of the United States, I was entitled to this information and while there might be some basis for the Department's position to decline to release a document which they themselves had classified, I could see no excuse for not furnishing a Member of Congress the names of such committee.

Sincerely yours,

WILLIAM F. KNOWLAND.

I should like to say to the able Senator, who has done much to bring to the floor of the Senate facts which I think the Senate and the country desperately need, that it seems to me the continued effort on the part of the State Department to lower the iron curtain between its own activities and the Congress of the United States and the public can be best expressed as running counter to Woodrow Wilson's concept of open covenants openly arrived at, in being secret diplomacy secretly arrived at. This is the public's business, and certainly it is a pertinent factor as to who constituted the committee which drafted a policy statement which said that Formosa had no strategic value, when I have every reason to believe that that is not the judgment of our responsible military and naval commanders and, indeed, it is my judgment that it is not the viewpoint of the Joint Chiefs themselves.

If the Senator will permit me further, let me say that I am not a member of the Foreign Relations Committee, but I have asked the very able Senator from Texas [Mr. CONNALLY] if I might attend a meeting of that committee in executive session tomorrow. With his usual courtesy he said that he would take the matter up with the committee, that it is possible that the committee might decide to permit visitors, but that he doubted very much the practicability of permitting questioning by some Senator who is not a member of the committee.

I have submitted to the able Senator from New Jersey, as I have to other Senators on the committee, and I desire to submit now to the Senate, certain questions which I believe are pertinent and to which I hope the Foreign Relations Committee may gain answers. If the committee is not successful in doing so, it will be the purpose of the junior Senator from California, since I feel that this question affects the strategic defense of the United States, to ask, through the Armed Services Committee, of which I am a member, and the Appropriations Committee, of which I am a member, the answers to those questions. I should like to get the answers, however, as soon as possible. The questions are as follows:

1. Who are the members of the policy group that drafted the December 23 memo stating that Formosa had no strategic value? Are John P. Davies and/or John S. Service members of this group?

2. Does the State Department or the National Defense Establishment have the views of General MacArthur or Admiral Radford on the strategic value of Formosa? Do either of them support the State Department's contention? Will any such views be made available to the Foreign Relations Committee in executive session?

3. Has the State Department any statement from the Joint Chiefs of Staff indicating they support the contention that Formosa in unfriendly hands is of no strategic importance to us?

4. Were the members of the National Security Council, when they met on December 29, informed regarding:

(a) The State Department memo of December 23 discounting the strategic value of Formosa;

(b) The request of the Chinese Government for aid which was received by the State Department on December 23?

5. What was the extent of the Chinese request of December 23 and any supplemental requests made since that date? Were they within the limits of existing legislation and appropriations? Will copies of such requests be made available to the Foreign Relations Committee in executive session?

6. Was the amount and scope of the Chinese requests made between December 23, 1949, and January 4, 1950, known to the President at the time of his press conference on January 5? Were such requests also made known to the Joint Chiefs of Staff; and if so, on what date were the Joint Chiefs informed?

7. Has the State Department information that the Chinese Communists are exercising an effective censorship on American citizens who have been allowed to leave China by holding responsible their Chinese friends not only for their financial obligations but also for any statements they may make regarding conditions in China?

Mr. SMITH of New Jersey. I can say to the Senator that if he requests me to do so, I shall be glad to present those questions, if it is not possible for him to attend the meeting of the committee. I think he has a perfect right to have those questions answered; and I join him in my expression of interest in the answers.

Mr. KNOWLAND. I hope the Senator will do so. I want to make them available now, so that the State Department will be amply advised and have ready the information requested, because I think the members of the Foreign Relations Committee are entitled to categorical replies to the questions as well as are other Members of the Senate.

I may say to the able Senator, because I know of his deep interest in this matter, that the last question grows out of a communication which I received recently from a man who had been for 4 years in Peking. He remained behind the Communist lines at the time the Communists occupied that city. He has only recently been able to get out. For obvious reasons I shall not use his name, but I think the Senate should be advised of what I believe is a very effective means of censorship which the Chinese Communists are using on American citizens. I read:

One good reason why I have been inarticulate about present conditions in China is the fact that, in order to leave, I had to produce two guarantors who were willing to certify my reliability, etc. It would hardly be cricket to jeopardize them by rushing into print with an unfavorable report on the present administration and it would be impossible to write any other kind.

Then, to bear out what he has said, he goes on as follows:

The only trouble with my theory is that nobody seems willing to accept it. I have some good arguments, most or all of which you already know, but none are immediate enough to make a strong point and, in any case, I run into a lot of people with preconceived notions which contradict my own observed facts. The idea that the KCT is a benevolent group of agrarian reformers, for example, is dying very hard. I know that conditions in the Chinese countryside under the KCT are worse than under the KMT because I have seen and talked to any number of refugees fleeing from the areas taken over by the new government. I knew one case in detail where a family had some 25 mu of land (about 4 acres) and a bicycle. The new authorities took all but 14 mu (2 mu for each member of the family), and the bicycle, which was regarded as a capitalistic luxury. Taxes are heavy, the rates are a little difficult to estimate but seem to be calculated to take all but enough to keep the taxpayer alive. And, in addition, the public is subjected to a constant stream of propaganda and elaborate courses of instruction in party ideals which take up the spare time which was the peasant's only luxury. Much the same thing goes on in the cities. Attendance at celebrations and school sessions is controlled through the pao-chia system; the press and radio become outlets for pure propaganda, school curricula are dictated by politicians and enforced by policy, business comes to a virtual stop and every normal function of the economy is stifled by regulation and bureaucratic control. Much of the latter is idiotic and the administrators thereof are selected apparently because they know nothing whatever about the field with which they are concerned. I could go on for pages outlining the

defects of the system as I found them, but suffice it to say I tried it out and it was too much for me.

Mr. President, that is not the only letter of that type I have received. I hope the Senator will press very diligently in the committee to see how long the State Department has been informed, if they are informed, that this type of censorship is being exercised on Americans who have gotten out of there, in an effort to prevent the American public being advised of the true conditions.

One final point I hope the Senator will bear in mind, namely, that as early as 1944 and 1945, as will be found by an examination of the China white paper, starting on page 564 and running through for some subsequent pages, Mr. Davies and Mr. Service were in China. As long ago as 1944, almost 6 years ago, they were predicting the immediate downfall of the National Government of China. They were urging, as will be found by a reading of the letter, a coalition of the Communists in China, and they were urging that the Government of the United States might start playing "footsy" with the Communists in China, even at that early date. So, I think my question as to whether either or both of these gentlemen had anything to do with this memorandum of December 23, saying that Formosa had no strategic value, is a pertinent question. If it is not answered tomorrow, I intend to press it in other places until we do get an answer to the question.

Mr. SMITH of New Jersey. I thank the Senator.

Mr. FERGUSON. Mr. President, will the Senator from New Jersey yield for a question?

Mr. SMITH of New Jersey. I yield for a question.

Mr. FERGUSON. Did the Senator find any evidence in the Pacific that, from a military viewpoint, Formosa was not of strategic value to the United States?

Mr. SMITH of New Jersey. I will say that very definitely I did not.

A suggestion has been made in some of the press that General MacArthur in a way was propagandizing me. I will say that General MacArthur never said anything to me until I asked him the explicit question. The first apprehension I had about Formosa I got in the Philippines. I did not talk to General MacArthur about it, but I went to the Philippines almost immediately, where some people said I might get information in Japan. So, when I returned to Japan I asked MacArthur about the Formosa situation. I initiated the inquiry. He did not ask me, as was suggested in some of the newspapers and in some of the comments.

Mr. FERGUSON. I compliment the Senator on the remarks he has made today, because I think they have been of great benefit to the Senate. I notice the Senator started out with the statement that there was a lack of policy. Was the Senator able to discover just what our policy was in the Far East?

Mr. SMITH of New Jersey. Not only could I not discover it, but I was very much disturbed by having members of our Defense Establishment, and even members of the State Department Establishment—cautiously, of course, because they did not want to put themselves in an embarrassing position, and, of course, I would not quote them—indicate their great appreciation of my coming, for instance, from the Committee on Foreign Relations of the Senate, so that they could say what they felt they had to say to someone about the lack of policy in that area and the embarrassment they were having because we did not have any policy in our dealings with the peoples there. I got the distinct impression from our own representatives there that they were concerned, first, over the lack of policy, and, second, over Formosa, and I did not hear any dissenting voice.

Mr. FERGUSON. As I understand, at least one of the purposes of our having military forces in the Pacific is to carry out the foreign policy of the United States.

Mr. SMITH of New Jersey. That is correct.

Mr. FERGUSON. That is, to implement it.

Mr. SMITH of New Jersey. That is correct.

Mr. FERGUSON. Was the Senator able to discover what our policy in the Pacific was that was to be implemented?

Mr. SMITH of New Jersey. I think that in Japan, where a reasonably free hand has been given to General MacArthur and where I am sure he is acting as the State Department would have him act, we have indicated a policy for that particular responsibility.

I think that in the Philippines Ambassador Cowan, to whom I want to pay the highest tribute, is doing a most constructive job in a difficult situation, seeking to help a young republic with its growing pains, a new nation coming into its own, trying to assist them in their economic problems. I felt that he had a program he was working on. But the important consideration with everybody was: Here we are stymied because there is no policy for China, and China is the key to this whole situation. If China goes communistic, the whole area will be in jeopardy. That is the feeling I got, though the Senator from Michigan, who was there himself, may have gotten a different feeling.

Mr. FERGUSON. I wish to ask the Senator if possibly he and I cannot agree on the thesis that we have had a policy of appeasement in the Far East, and that we are in effect carrying out that policy. Let us say that it is partly open and partly secret.

Is it not true that it was the feeling of some in the State Department at the close of the war, and prior to the close of the war that Russia was entitled to have on her borders in the west friendly nations, and we knew, prior to the close of the war, that Russia was setting up communistic governments for Poland and various other countries in the west? Is it not also true that, being desirous of having at least some signs of democracy in those governments, we asked for free elections, having in mind that Russia wanted to have friendly governments on her borders in the west? Is it not further true that finally we discovered that what she had in mind by "free elections" was the installation of Communist governments and that we waked up to the sorry fact that although Russia agreed to free elections, as we called them or asked for them, they were absolutely controlled elections, as she desired?

Is it not true that the American policy in the east was identical? Was it not understood that Korea was to have a government free from communism, but the American policy was to dictate to the Koreans that in their government they had to take in so many Communists? In other words, the policy was that Russia was entitled to a friendly government on her border, and we insisted on Communists going into the government. Is it not true that that was secret, that it was unknown to the American people? But in December of 1945, when we sent General Marshall to China, we instructed him, as is shown by the instructions, to demand in China the identical thing we demanded in Korea, namely, that the government of China take Communists into it.

Therefore we had a policy in the Pacific identical with the policy in the European theater, that Russia was to have friendly governments on her borders, and to this day America has had a policy of allowing her that privilege.

This is the difficulty: These friendly governments are entirely different from what the Senator and I understand as friendly governments on our borders. We ask only that on our borders we have free and independent people, not controlled by a foreign power, whereas to Russia, to communism, a friendly government is one that is controlled from Moscow. Therefore, a friendly government which attempts to take into its bosom Communists, will end up with nothing but communism, as occurred in the west. I ask the Senator whether or not he found such facts to exist in the east?

Mr. SMITH of New Jersey. I will not say that I found all those facts in detail. I did find that there had been, as the Senator says, the endeavor to bring about a coalition in the early stages of the Korean picture. I did find that the south Koreans were very strongly against that, and I believe Dr. Rhee himself told me definitely that he was opposed to a coalition. I am not sure about that, however.

So far as the remainder of the Senator's statement is concerned, while I cannot say that I found collaboration difficult, a sequence of documents, and so forth, certainly shows a trend or pattern. The history of the satellite states in the west, that is in the east of Europe but in the western part of the world today, and the trend today in China, indicate a pattern which has been followed very definitely by the Communists. In the beginning, I think, we were misled by that pattern and went along in the hope of bringing about peace, as the Senator intimated. But after we had seen the terrible things that happened in the satellite states in eastern Europe, some of which I saw personally; after we had seen what happened in Poland, in Czechoslovakia, in Hungary, in Bulgaria, and in Rumania, where purges of mem-

bers of the existing governments took place, and harsh conditions were imposed on the existing governments, we should have realized what would happen in China; that the same pattern would be followed in China, and that China would be lost to the Communists in the same way as the satellite countries of western Europe were lost to them.

Mr. FERGUSON. When our Nation deals with what we believe to be, or what we hope is a "friendly government," meaning thereby a free as well as a friendly government, and when our Nation later discovers that the nation with which we are dealing has an entirely different conception of the meaning of the term "friendly government," and considers another government to be "friendly" only if that government is communistic, does not the Senator from New Jersey believe we should be released from any understandings or agreements based on our belief that we are dealing with a "friendly" government?

Mr. SMITH of New Jersey. If there was any such understanding I should certainly say that what has since happened releases us from such understanding or agreement as we have entered into, because we have now found that Russia, by the method of infiltration used by her, has brought about Communist conquest of her satellite nations.

The suggestion has been made that there is danger of some of the Asian countries bordering on China being invaded and conquered by the Chinese armies. I do not believe such a thing will happen. I think the Moscow Communists are too smart for that. I believe they will hold the Chinese Communists away from the borders of the surrounding countries, but that the Communist movement will come from within the bordering countries, as it did in China itself. I do not believe there will be external aggression into the surrounding countries, from across the border of China. The Chinese Communists will keep away from that because they know that that is something which will be rejected by the Asian people themselves.

What I am hoping for is to give the small Asian countries the knowledge that the United States is interested in their yearnings for their own nationalism, without interference by any outside power, and when I say that, I mean by Russia, with the methods she has used in obtaining control in China. I say further that any recognition by us, de jure or de facto, should not mean that we are in favor of such a policy as that which is now being followed by the Communists in China.

Mr. FERGUSON. Mr. President, will the Senator further yield?

Mr. SMITH of New Jersey. I yield.

Mr. FERGUSON. Did the Senator obtain information in the east, and on the island of Formosa, leading him to the conclusion that the Formosan people were of the opinion that in effect America was instigating a revolution on the island of Formosa?

Mr. SMITH of New Jersey. I heard that stated in various quarters, but I do not have sufficient evidence to be sure that there is anything to it. I did hear it stated that some Americans there had stirred up some Formosans to revolt against the Nationalists. I do not have any evidence to substantiate that, however. It was simply common talk.

Mr. FERGUSON. It was common talk.

Mr. SMITH of New Jersey. Yes.

Mr. FERGUSON. Does not the Senator believe that such common talk tends to instigate a revolution under the circumstances, particularly in view of the fact that America is following a policy of giving no financial or military aid toward the defense of Formosa?

Mr. SMITH of New Jersey. Yes, it might very well do so, and I think the writing off of Formosa by the United States might mean a revolution there in a very short time. That is one of the reasons I gave for the plea I made the other day for the other approach and a different kind of a solution for the Formosan people.

Mr. FERGUSON. Mr. President, will the Senator yield for another question?

Mr. SMITH of New Jersey. I yield.

Mr. FERGUSON. Has the Senator any evidence that prior to January 1, 1950, America had decided not to give any military aid to the Nationalist Government, as announced on January 5 by the President? Prior to that time did the Senator know that such a policy was our policy but had not been announced, so far as the American public was concerned?

Mr. SMITH of New Jersey. I had no evidence of it, but, of course, from talking, as I did, with the Secretary of State, and with men like Mr. Fosdick and others, I knew that they were seriously considering denying any further military aid of any sort to the Nationalist Government of Formosa. I knew it was being considered. That is why I sent my letter of November 27 to the Secretary suggesting an alternative approach to the Formosan question, if we did not give them any military assistance.

Mr. FERGUSON. But was the Senator familiar with the fact that as early as last October the United States Government advised the Nationalist Government of China that we would not give any military aid to nor defend Formosa, which is in terms what was said on January 5, 1950?

Mr. SMITH of New Jersey. I was not aware that it had been done on that particular date. I thought that about that time the decision was being arrived at, and one reason I was concerned over this approach was because those of us who had been to Formosa and had a chance to learn of some of these issues felt we were entitled to sit down with members of the State Department and discuss the possible solution of the Formosan problem without the problem being prejudged. That was my thought respecting the approach to the Formosan problem. However, we were not even considered.

Mr. FERGUSON. I ask the distinguished Senator whether the instructions, dated December 23, respecting the Pacific situation, at least as released by the press associations, did not indicate that so far as the State Department was concerned they had charged off Formosa as not being strategically necessary in America's scheme of things, and also whether they did not indicate clearly that we had then decided, that is, as early as December 23, that Formosa would receive no military aid, nor other assistance, and instructions were given to officials in the Far East that when the fall of Formosa came, they would have an excuse, or at least an alibi to give as the reason why Formosa had fallen?

Mr. SMITH of New Jersey. I think that is true; and that is why we were all surprised that on December 29, as I recall the date, there was a meeting of the National Security Council, as though that Council would determine the disposition of Formosa. The question had been settled and determined long before that, and those who wanted to have the matter reconsidered, as I understand the Defense Department did, were simply told, apparently, that the matter had been decided, and that they did not need the advice of our experts.

Mr. KNOWLAND. Mr. President, will the Senator yield to me at that point, because what I have to say fits in with what is now being said.

Mr. SMITH of New Jersey. Yes.

Mr. KNOWLAND. I ask the Senator from New Jersey, who serves very ably on the Foreign Relations Committee, whether, when the new committee to study the Far East, headed by Dr. Jessup, and including the other two gentlemen the Senator names, was set up, his impression was that before any final decision was made in regard to our far-eastern policy that committee would presumably make its report; that the report would not only be available to the State Department for study, but presumably would be available at least to the Senate Foreign Relations Committee for study, so that there could be joint discussions prior to any final decision relative to writing off of China?

Mr. SMITH of New Jersey. Yes; I am sure that was the original intention. But I was advised when I returned, that the committee of three was to be a continuing committee, and while they had discussed policy with the President, nothing was to go to the public until Mr. Jessup, who was chairman of the committee, had gone to the Far East and made his report. Another thing that came as a great surprise was that these decisions were made while Mr. Jessup was still in the Far East. We expected that nothing would be done at least until he had come back and told what he had found. That was an extraordinary action.

Mr. KNOWLAND. Could the able Senator from New Jersey enlighten the Senate as to what good was to be expected, so far as our Chinese policy is concerned, by sending Dr. Jessup to China, and by announcing that on February 1 the Joint Chiefs were going to the Far East to discuss with General MacArthur the general strategic situation in that area of the world, if before either group, that is either Dr. Jessup or the Joint Chiefs have had a chance to carry on their consultations or bring back their reports, the country and the Senate had already been presented with a fait accompli?

Mr. SMITH of New Jersey. I agree with the implications of the Senator's question entirely, and I was as much at a loss as he is to understand why we need to have Mr. Jessup go to the Far East, or why we need to have the Joint Chiefs go there, if all the strategic questions are to be decided in Washington without consultations whatsoever with those on the ground in the Far East. That is one of the puzzles we have been troubled by, and which brought up the debate, so far as I am concerned.

Mr. FERGUSON. Mr. President, will the Senator yield?

Mr. SMITH of New Jersey. I yield.

Mr. FERGUSON. Along the same line as that just suggested by the Senator from California, we have the sending of Mr. Jessup to the Far East, and the proposal to send the Joint Chiefs of Staff to the Far East, and then we have the announcement of policy on January 5. In October the United States Government advised the Nationalist Government that we would not give military or any other help toward the defense of the island of Formosa, which was followed on the 23d day of December by instructions to the State Department officials in the Far East respecting policy. In view of what occurred in October and December, I ask the Senator from New Jersey why Dr. Jessup should have been sent to the Far East to look into the making of a policy in relation to the strategic value and the importance of Formosa and its defense, so far as America is concerned? Why would we send him, even by airplane, after the fact was already announced by the Nationalist Government?

Mr. SMITH of New Jersey. That is a difficult question to answer. I will say for Mr. Jessup, whom I have known for many years, and for whom I have the highest regard; that he went to the Far East not only for the matters we are discussing, but also to discuss some other matters relative to the Far East, in connection with which the Communist problem arises. So he went for that additional reason.

But I understand the reason he went there to discuss the Formosan question—I understand he is there for that purpose now—was so that he might obtain information on the scene and might get advice from the Joint Chiefs, and all that sort of thing.

Mr. FERGUSON. Mr. President, will the Senator yield further?

The PRESIDING OFFICER (Mr. LEHMAN in the Chair). Does the Senator from New Jersey yield further to the Senator from Michigan?

Mr. SMITH of New Jersey. I yield.

Mr. FERGUSON. Does the Senator from New Jersey believe now that the announcement by the President on January 5 forecloses the question of the strategic value of Formosa in the scheme of things, so far as the United States is concerned? Is that now a closed book?

Mr. SMITH of New Jersey. As a Member of the United States Senate, I certainly hope it is not, because I feel the enormous responsibility all of us have to be sure that our country is safe. If our Chiefs of Staff and our military men generally, especially those in the Far East whom I saw, still think Formosa a strategic area—and they know more about it than I do—then it is very difficult for me to reconcile myself, I regret to state, with the decision of the administration, because the safety of the United States means more to me than agreeing with the decision of the administration. I think we must get the best advice and information we can obtain on this matter, before the door is finally locked. That question should be asked.

Mr. FERGUSON. Then, is it the view of the Senator from New Jersey, that if it is the opinion of our best brains, so far as military matters are concerned, that Formosa is of strategic value, that decision should be held in abeyance?

Mr. SMITH of New Jersey. Yes; because from the standpoint of defense, I feel that we would be justified in defending Formosa from an attack from the mainland.

Mr. FERGUSON. Does the distinguished Senator from New Jersey believe that if the Reds in China, either through infiltration and revolution from within or by outside direct attack, obtain Formosa, there will then be on the island of Formosa a government unfriendly to the United States of America?

Mr. SMITH of New Jersey. Yes.

Mr. FERGUSON. There is no doubt about that in the Senator's mind; is there?

Mr. SMITH of New Jersey. Not a bit. Furthermore, if the Chinese Communists move in and take over Formosa and make it a part of China, there is not the slightest doubt in my mind that if those in Moscow want to set up bases there, even if they do not make any noise about it, they will be definitely able to set up bases that will be a threat to our lifeline, including Okinawa. Therefore, I think it may be necessary for every member of our Armed Services Committee to go there. It is a serious threat to the peace of the world today.

Mr. FERGUSON. I wish to agree with the Senator that it is so vital and so important that we should not consider it a closed book, so far as the message of January 5 is concerned.

Mr. SMITH of New Jersey. I hope we will not have to.

Mr. FLANDERS. Mr. President, will the Senator yield to me?

Mr. SMITH of New Jersey. I yield to the Senator from Vermont.

Mr. FLANDERS. I should like to ask the distinguished Senator from New Jersey whether he feels it would alter the very wise course he has proposed if we should suddenly learn that the administration had recognized the Communist government of China. What difference would it make to the proposals the Senator from New Jersey has made?

Mr. SMITH of New Jersey. If we still considered that the Formosan status was in abeyance pending the signing of the Japanese peace treaty—and very good lawyers have argued to me that that is the position it is in since the agreement of the Cairo Conference, that Formosa was to go to China, has not been carried out legally, and will not be until the peace treaty is signed—if that is the position, we still would be able to deal with Formosa after the Chinese Reds were recognized, if they were. But their recognition would put us in a very difficult position. I assume that the Senator from Vermont would agree with me as to that.

Mr. FLANDERS. I would agree; but if our Government recognized the Chinese Communist Government, I am still a little concerned about how the matter might work out in this respect——

Mr. SMITH of New Jersey. The Senator will understand that the Senator from New Jersey is definitely opposed to the recognition of the Communist Chinese Government by the Government of the United States.

Mr. FLANDERS. I say to the Senator from New Jersey that that makes two of us.

Mr. SMITH of New Jersey. I think something more I shall say along that line will be agreed to by the Senator from Vermont.

Mr. FLANDERS. I would not be surprised.

But so long as our recognition remains, by sorry default, with the Nationalist Government of China, it would seem that the position we would be in if we followed the Senator's suggestion as to what we should do about Formosa in the meantime, would be more unpalatable to the Russian Government than would be the case if the Communist Government in China were recognized. Would there not then be, on the part of the Russian Government, a tendency, with the recognition of the Communist Government in China, to hurry up the conclusion of the Japanese peace treaty, to speed up the whole process so that we would have little chance to accomplish the things the Senator from New Jersey is suggesting be undertaken in the case of the Island of Formosa?

Mr. SMITH of New Jersey. I am not entirely clear about the question the Senator has asked, because certainly I am not endeavoring to find a conclusion or an alternative that is palatable to Russia or to Moscow.

Mr. FLANDERS. No; we are not. However, if our Government is to make an effective psychological beachhead in Formosa, and at the same time should recognize the Chinese Communist Government, I wonder how long it would be before we arrived at a conclusion of the peace treaty, so far as Japan is concerned, and before that island fell into the Communists' hands. It would seem to me that the recognition of Communist China becomes that much more dangerous.

Mr. SMITH of New Jersey. Oh, I agree entirely with the Senator. I did not quite understand the point of his question. I agree entirely. It would bolster up my position and my suggestion if we refrain from recognizing Communist China. Of course, if we recognize Communist China, we are going to be in a very difficult position in this whole matter.

Mr. FLANDERS. However, so far as we can judge, that is a possibility to be reckoned with, because it is in line with our experience on this floor, of being faced with a series of unpleasant, unwise faits accompli. It would be another of them.

I do not expect to be free from the fear of waking up some morning and finding that the Communist Chinese Government has been recognized.

Mr. SMITH of New Jersey. I may say to the distinguished Senator from Vermont that not only I, but other members of the committee, have had assurance from the Secretary of State that recognition will not be accorded without full consultation with the Foreign Relations Committee of the Senate and the Foreign Affairs Committee of the House. But the difficulty of that is that the decision which may be made with respect to Formosa may put us in a position where we shall be following the band wagon in the wrong direction, whereas we should be leading the procession in the right direction.

Mr. FLANDERS. I should like to conclude by complimenting the Senator from New Jersey on the broader definition he has given to the word "strategic." I think he is of the opinion that Formosa is of strategic value from the military standpoint; but he has also given a truly wise and truly broad and truly practical extension of the word "strategic" into the style of warfare in which the Russian Government is preeminently skillful, and that is the strategy of psychological and spiritual warfare. I wish to express my gratitude to the Senator from New Jersey for displaying that kind of strategy, in which we are so deficient, and in which the opposing side has been so extremely effective at so little monetary cost.

Mr. SMITH of New Jersey. I thank the Senator. I merely state in that connection that it is my distinct feeling that we have missed the whole possibility in Asia because we have not realized that there is going on all over the world a cold war to capture the minds of men, and that it may be well worth considering having an immediate cessation of hostilities in the hot war—if we can hold Formosa while we do it—if we can turn our psychological guns on the cold war, to capture the minds of men and teach them the great values of the western Christian tradition.

Mr. KNOWLAND. Mr. President, will the Senator yield for a question?

Mr. SMITH of New Jersey. I yield.

Mr. KNOWLAND. It will be my final question of the Senator.

Mr. SMITH of New Jersey. I am glad to yield.

Mr. KNOWLAND. Relative to the statement the Senator just made, in answer to the question of the Senator from Vermont, regarding the commitments to discuss the matter with the members of the Senate Foreign Relations Committee and the House Foreign Affairs Committee, prior to recognition, has the able Senator from New Jersey any assurances that such discussion with the two committees dealing with foreign relations in the two Houses of Congress will be any more than the Secretary's coming in, some morning, and saying, "We have determined to recognize the Communist regime in China; we wanted you to be notified before the statement was given to the press"?

Mr. SMITH of New Jersey. I said what I did because at this stage of the game, I am going to give the Secretary of State the benefit of the doubt. He must realize what we feel is meant by charting and formulating these decisions, and if it is another case of merely handing us something to sign on the dotted line, he will know perfectly well that there will be some very strong dissents.

Mr. WILEY. Mr. President, will the Senator yield for a question?

Mr. SMITH of New Jersey. I yield to the Senator from Wisconsin.

Mr. WILEY. I am sorry I had to be absent from the floor. I am simply going to ask a very brief question, but I shall preface it by saying that tomorrow we of the Foreign Relations Committee are going to have the privilege of catechizing the Secretary and getting his views and interpretations as to the subject known as the foreign policy in the Far East. I should like to have the distinguished Senator state very briefly—perhaps it will be by way of recapitulation; I do not know—if he were Secretary of State, or President, what policy he would initiate on behalf of this Government in the Far East, from here on in, or from here on out. In other words, we have as it were a patient. What is the remedy the Senator would prescribe? I should like to have a categorical reply. First, I understood the Senator would not recognize the Communists.

Mr. SMITH of New Jersey. That is correct.

Mr. WILEY. Second, I understand that, in relation to Formosa, instead of occupying it, the Senator would provide some sort of economic aid, so that the present forces themselves could effectively handle the situation. Is that correct?

Mr. SMITH of New Jersey. I recommend that we think in terms of keeping Formosa from getting into any hands hostile to the United States. In my discussion today, which was built around my thought about Formosa, I explored four alternative approaches, which will appear in the RECORD.

Mr. WILEY. I understand. Which one would the Senator suggest?

Mr. SMITH of New Jersey. The last one was the one I suggested.

Mr. WILEY. And what was that?

Mr. SMITH of New Jersey. It was on the theory that we had a responsibility, because Formosa legally is still a part of Japan.

Mr. WILEY. I understand. What was the last one, briefly?

Mr. SMITH of New Jersey. I preferred to have an arrangement with the Nationalists and the Formosan people, which I think they would be very glad to sit in with us to work out, for the peaceful occupation of the island, the development of its economics, and so forth. I realize that if we did that at this time and the word was being carried over the island, it would make complications in which our people would not want to become involved. We are not willing to give any military aid or take any aggressive action; so I limited the suggestion by saying there should be no aggressive warfare carried on from Formosa by the Nationalists or anyone else. If they wanted to carry on aggressive warfare, they must go to some other base, but we would be prepared to back them up in the defense of Formosa against its being taken over by hostile hands.

Mr. WILEY. But does the plan contemplate a partial trusteeship or a partial occupancy by this Government?

Mr. SMITH of New Jersey. An occupancy in the sense of a peaceful occupancy because of our responsibility to Taiwan's people, until the Japanese peace treaty is signed.

Mr. WILEY. Does that mean that we would have to put military forces in possession?

Mr. SMITH of New Jersey. No; I should not put a soldier in there.

Mr. WILEY. What does the Senator mean then by occupation?

Mr. SMITH of New Jersey. We would have no trouble at all about that, because we have bases in Japan, we have bases in Okinawa, and we have a base in Manila, which could be used, if they had to be, and, as I tried to explain in my statement, I would recommend a peaceful occupation so as to set up a democratic government, to make a symbolic Chinese province there on a democratic basis, by getting the people who were interested in its future—who would be the Nationalists, the Formosans, and so on—to work with us. Either we would be there joining them in the Government, or preferably, we would be advising and helping them to set up a democratic government of their own. But we would protect them against being taken over by the Communists.

Mr. WILEY. Then, am I to understand by occupancy that the Senator means something of the sort of occupancy that occurred in Greece, to which we sent advisers and a few military officers?

Mr. SMITH of New Jersey. No; I would not even go so far as that. I would not send a military man. I would have nothing to do with the military end, at all. I do not think it is necessary.

Mr. WILEY. The Senator has in mind, then, merely some political advisers?

Mr. SMITH of New Jersey. Political advisers, or whatever they might want to have.

Mr. WILEY. Then, would the Senator enter into an arrangement whereby, if there were a joint set-up, if they were attacked, we would be at war?

Mr. SMITH of New Jersey. No; we would not be at war.

Mr. WILEY. We would be making a guaranty?

Mr. SMITH of New Jersey. No; I am not proposing to guarantee anything. I am saying we would back them up, if they were attacked from the mainland, but we would not be at war in any aggressive sense.

Mr. WILEY. What does the Senator mean by the expression "backing them up"?

Mr. SMITH of New Jersey. It would be in the sense that, if necessary, as former President Hoover said, our Navy should be used to prevent Formosa's being taken over; the sense in which the suggestion was made by the Senator from Ohio [Mr. TAFT] that our Navy might be used to prevent its being taken over; not that we would get into an

active war at all; but simply take such action if the contingency mentioned should happen. I do not think it would happen under the program I have proposed, because we would not be putting any military force there, or any military mission. I have no interest in that. I am interested in turning our attention to ideological warfare, and in my own expression, moving from a hot shooting war to a cold war, with the minds of men as our chief objective in setting up this picture in Formosa.

Mr. WILEY. First, there is no recognition of Communists.

Mr. SMITH of New Jersey. No.

Mr. WILEY. Second, the Senator has in mind some kind of joint arrangement to give some political form of government to Formosa, with the idea of a protectorate, so that we would protect them in case they were attacked?

Mr. SMITH of New Jersey. Let us use that expression.

Mr. WILEY. Very well; we can use that. Is there anything else in the Senator's policy? Would there be any economic advancement of any kind? I should like to find out concretely.

Mr. SMITH of New Jersey. There would probably be the working out of an ECA program for developing the island, since the President in writing off Formosa has approved that. We should continue to give them ECA aid. I think that is legitimate, and we should continue it.

Mr. WILEY. But in the present situation in the Far East—and I do not want to be facetious—I think it is plainly evident that either the Nationalist Government has to be competent militarily to resist attack, or have some assistance from an outside power that will give it that competency. I now come to the other question: Would the Senator see to it that they were given assistance in the nature of military aid?

Mr. SMITH of New Jersey. Not in the first instance; not in setting up this picture, as I visualize it. I think it will take the Communists at least 6 months to get moving in that direction. If it appears they are moving in that direction, we shall be faced with the question then of a possible threat to our island defenses, and we shall have had a chance to consult our boards of strategy and our Joint Chiefs of Staff as to what we should do in that case. What would we do tomorrow if the Communists tried to take one of the Japanese islands? Suppose the Communists tried to take one of the Japanese islands under General MacArthur's care. I say that Formosa should be under the same kind of care that MacArthur exercises with respect to the Japanese against any foreign assault.

Mr. WILEY. Then, the Senator would recommend sending military advisers there to lay out some adequate plan?

Mr. SMITH of New Jersey. I personally do not think it necessary.

Mr. WILEY. I thought the Senator said something about following the judgment of the Chiefs of Staff.

Mr. SMITH of New Jersey. For our own guidance as to whether we should move in, as President Hoover suggested, with the Navy, or as the Senator from Ohio [Mr. TAFT] suggested.

Mr. WILEY. Is there any other facet to the Senator's policy?

Mr. SMITH of New Jersey. Yes. If the distinguished Senator by any chance, who is a member of the committee, read my report to the committee, it goes into other matters with which I did not deal today.

Mr. WILEY. Were they matters dealing with the question of policy?

Mr. SMITH of New Jersey. Yes; I went into the question of our far-eastern policy, because I said we must have a unified over-all finger on the pulse, which we do not have today. We have MacArthur in Japan, taking care of the island, and the Navy taking care of the mainland, and while they work beautifully, it is not a unified command over the whole. Personally I should like to see MacArthur in charge of the whole area.

Mr. WILEY. That is what the Senator means by keeping a finger on the pulse?

Mr. SMITH of New Jersey. Yes.

Mr. WILEY. MacArthur over all?

Mr. SMITH of New Jersey. I should like to see that.

Mr. WILEY. That is another point.

Mr. SMITH of New Jersey. It does raise some difficulties, because he is what is called SCAP, the Supreme Commander of the Allied Powers in that area, and he might be ineligible. But I have discussed with the Secretary of State the possibility of having what might be called an ambassador at large, going down into French Indochina, to Siam, to Burma, to Malay, and to Indonesia to deal with all the issues which will come up in the Far East. They ought to be under one hat, so we can deal with one head and not have them under scattered commands. I think it is most important.

Mr. WILEY. Assuming we had in Formosa the set-up the Senator suggests and it became evident that it would be the wise thing to see to it that the roving Nationalist bands in China, the guerrillas, should receive adequate arms, the Senator would recommend that arms be given to them?

Mr. SMITH of New Jersey. No, we would be entirely out of that.

Mr. WILEY. The Senator would not have anything to do with that?

Mr. SMITH of New Jersey. We should have nothing to do with that, under the approach I am making to this problem.

Mr. WILEY. I thought the Senator said something about other places, Burma, and so on.

Mr. SMITH of New Jersey. In Burma, Indochina, and Siam, there is the problem of uprisings.

Mr. WILEY. The problem of containing the Communists?

Mr. SMITH of New Jersey. Yes.

Mr. WILEY. Very well.

Mr. SMITH of New Jersey. There is a $75,000,000 flexible fund which the President was given through the legislation enacted last year. I recommended in my report where that was to be used. It might be used for spots in China, as well as Indochina, or somewhere else, but I am not raising in connection with the Formosan question, the spots in which it ought to be used. In my judgment that question ought to be determined by men of the caliber of MacArthur, Wedemeyer, Badger, Berkey, both military and naval officers who are on the ground, and who are constantly studying the problems involved. I am told they are being asked for their advice, but there is not a follow-up of anything.

Mr. WILEY. But if the policy recommended by the Senator contemplates that this over-all group of master-minds felt that to contain the Communists it was necessary that this fund be used to procure arms to be furnished the guerrillas so that they could make constant opposition to the onrush of the Communists, that would be a part of the plan, would it?

Mr. SMITH of New Jersey. I think it would be, yes. In answering the Senator's question, and before I yield the floor, I should like to add a further word. Another recommendation I made in my report was that a committee of three, composed of Jessup, Fosdick, and Case be continued, and that there be added an advisory group made up members of the Foreign Relations Committee of the Senate, the Foreign Affairs Committee of the House, and the Armed Services Committees of both bodies, to keep in constant touch with this rapidly developing situation. I recommended that a subcommittee of that joint group, which should have the responsibility, should go to that area immediately to see whether those who have come back from there have reported the truth, or whether we are merely alarmists, as we are accused in some quarters of being, and whether there is really such a critical situation there as may bring about a world crisis at almost any time. I feel that strongly about it. I think we ought not to be caught unprepared.

Mr. LUCAS. Mr. President, will the Senator yield for one question?

Mr. SMITH of New Jersey. I am happy to yield to the Senator from Illinois.

Mr. LUCAS. The Senator from New Jersey suggests that we should not, under any circumstances, recognize the Communist regime in China. From what the Senator understands is taking place in both countries at the present time, is there any difference between being a Communist in China and being a Communist in Russia?

Mr. SMITH of New Jersey. Frankly, I think there is very little, if any, difference. I think the pattern in China is exactly the same as that in Czechoslovakia and in all other places where the turn-over comes through infiltration without an aggressive conquest. I am sure the Senator from Illinois would not be even considering recognition if Russia had conquered China and had said, "We are de facto conquerers and want to be recognized."

Mr. LUCAS. Would the Senator suggest that we withdraw recognition from other Communist nations?

Mr. SMITH of New Jersey. We may have to do so. Certainly if there should be a continuation of what is now going on in Hungary, where they have taken an American citizen and have declined to account for him, we must either act

very forcefully or sever all relations with that nation.

Mr. LUCAS. I do not at all disagree with the position of the Senator so far as individual American citizens are concerned, but I am speaking solely with regard to the ideology of communism and whether we should recognize communism in one place and fail to recognize it in another place. That is the only point I make. I presume, from the Senator's argument as to refusing recognition of Communist China, he would be willing to withdraw recogition from other Communist countries.

Mr. SMITH of New Jersey. I think we may be faced with that situation. At the time when we were considering recognition, for example, of the Communist regime of Czechoslovakia, Hungary, Bulgaria, and other countries, I yielded to the argument that it might be better to recognize them and have some observers behind the iron curtain than to be kept out entirely. But as I have seen the situation progress and have seen the implications of the Chinese picture indicating communism for all Asia, I do not want the United States to be in the position of saying, "We cannot help it, so we are going to leave it."

Mr. LUCAS. Mr. President, will the Senator yield for one further question?

Mr. SMITH of New Jersey. I shall be happy to yield.

Mr. LUCAS. In the colloquy which the able Senator had with the Senator from Wisconsin [Mr. WILEY], the Senator from New Jersey went so far as to say, as I understood him, that if it should be necessary ultimately to defend Formosa from domination by the Chinese Communists, he would agree with former President Hoover and the Senator from Ohio [Mr. TAFT] that the American Fleet should be used to try to forestall the conquering of Formosa by the Chinese Communists. Is that a fair statement of what the Senator said?

Mr. SMITH of New Jersey. No. What I tried to say was that I felt it was the defensive side which former President Hoover and the Senator from Ohio had in mind. I wish the Senator from Ohio were here at this time. No aggressive war against the Communists would be carried on from Formosa. I want to take it out of the war and give the people a chance to recover as an active Chinese province, protecting the people who are the victims of the fight on both sides.

Mr. LUCAS. I certainly agree with the Senator that we do not want to carry on any aggressive war, but I fear that if we surround Formosa with our fleet or go into Formosa with any troops, we shall be charged with an act of war.

Mr. SMITH of New Jersey. I would not send a single soldier there. I do not want any soldiers there at all. I take the position that General MacArthur today is the trustee for Japan, to keep Japan from any aggressions from an outside source. We certainly would move our troops into Japan in case Japan were threatened. I would put Formosa in the same classification until the peace treaty is signed.

Mr. LUCAS. A number of other Senators may differ with the distinguished Senator from New Jersey, that they are in the same classification.

Mr. SMITH of New Jersey. I am not saying it is not a controversial question.

Mr. LUCAS. I think it is a very interesting question and one with which the American people are vitally concerned, as to how far Members of the Senate are willing to go in the way of sending our Navy to Formosa to defend it from the onrushing of the Communists of China, and how far we are willing to go in sending troops there. My own position is that we cannot be fooling around with our Navy over in the Pacific and getting ready to defend Formosa from the onrushing of the Communists across the sea without having a little more than the Navy to help take care of the situation.

Mr. SMITH of New Jersey. Let me say to the distinguished Senator that the Secretary of State, in his introduction to the white paper, says distinctly that if the Chinese Communists move over the borders of China, they will have to reckon with the United States. I ask the Senator from Illinois, as representing the administration, where are we going to stop? Formosa is an ideal place to stop. We cannot stop at the Indonesian border, the China border, or at Burma, without sending in troops. Formosa is an ideal place to stop.

Mr. LUCAS. That, again, brings up the question as to what is the border, whether Formosa is a part of China, or whether it would be after the treaty is signed. I seriously doubt whether we should undertake a trusteeship, as the Senator suggests. Certainly we could not do it under the United Nations.

Mr. SMITH of New Jersey. I said in my remarks that that was impracticable, and I threw it out. I said it might be desirable to explore the question, but that it did not seem to me to be practicable, because Russia would veto it. But there is a point which the administration must decide as to what we are going to do with the funds. Are we going to dribble them out to help the local armies? We shall lose Asia if we do not decide where to stop.

Mr. LUCAS. That may be correct. The Senator from Illinois is just as desirous of stopping communism at the borders as is any other Senator. The Senator from Illinois has always seen eye to eye with the Senator from New Jersey in the foreign policy of this country in the European sector of the world. But I cannot follow the argument being made by my distinguished friends as to the foreign policy they suggest with respect to the Asiatic situation. I cannot go that far. I do not question any Senator's sincerity. I know my friend from New Jersey has been in the Far East and has spent a considerable amount of time in talking to persons there and trying to ascertain for his own benefit and for the benefit of the Senate and the country the situation. He has made a very interesting address, but I cannot quite go along with my friend, because I am definitely afraid that the charge of imperialism which will be hurled at us may be sustained if we follow the policy laid down by former President Hoover and by my distinguished colleague from Ohio [Mr. TAFT.]

Mr. SMITH of New Jersey. I do not think we are going to get to that point, because I do not believe the Communists will dare to take the initiative in such aggression if we take the proper position.

Mr. KNOWLAND. Mr. President, will the Senator yield?

Mr. SMITH of New Jersey. I yield to the Senator from California.

Mr. KNOWLAND. Mr. President, the able Senator from Illinois has stated a situation which I think is a pertinent one, and I greatly respect him, as the majority leader knows. I desire to call his attention to the letter of transmittal by Dean Acheson in connection with the white paper, in which this language appears:

> Should the Communist regime lend itself to the aims of Soviet Russian imperialism and attempt to engage in aggression against Chinese neighbors, we and other members of the United Nations would be confronted by a situation violative of the principles of the United Nations Charter and threatening international peace and security.

If we take the words of the Secretary to mean what he apparently means, they would apply to any Communist aggression across the borders of Indochina or Burma, or, presumably, the borders of the Republic of Korea, which would be immediately of concern to us as one of the law-abiding nations of the world, and we would be called upon to send a fleet and our armed forces, or our air forces, as the case might necessitate, to protect from aggression. Can the Senator from Illinois read anything else into that statement by the Secretary of State?

Mr. LUCAS. I do not care to read anything into the statement made by the Secretary of State with respect to what he said last year. I have not examined what he said. I should want to read the whole content of the statement before I gave a definite conclusion as to what he meant in any particular paragraph. It was written last May, I think the Senator said, before the Chinese Communists had the great victories in their own country in the civil war which they have been carrying on. But the State Department takes the position that Formosa is a part of China. If that is the position they take, I imagine the civil war could continue on into Formosa. What will happen if the Communists go into Malay and Indonesia is an entirely different question. We will meet that problem when it arises. Now we are talking about Formosa, and Formosa alone.

Mr. KNOWLAND. Mr. President, I might say to the able Senator from Illinois, because we have on many issues seen eye to eye together, I think this is a very pertinent question, to which the American Senate and the public and the Congress must give some attention. In view of the position we have now taken in China, of turning our back on a wartime ally and friend, and saying that because it is a civil disturbance, albeit one inspired by international communism, we cannot become involved in a civil war, and therefore say, "We write you off." What is that going to put into the minds of the people of Korea, who are sitting under the gun? What is that going to put into the minds of the people

of Indochina, or Burma, or Siam, or Pakistan, or India?

The great danger the world faces today is not that a Soviet Army may move across the border, or that a Chinese Communist Army may move across the border, but suppose they multiply 10 times the situation with which we were faced in Greece, and begin to infiltrate arms and infiltrate agitators and stir up dissension, and one by one take the nations of Asia behind the iron curtain? That will be just as effective, in the long run, as though an army went across the borders and occupied the countries. So I say very sincerely to the Senator from Illinois, unless we are "kidding" these free people in that part of the world, sooner or later someone will have to make up his mind as to whether freedom is any less important in Asia than it is in Europe.

I think that if the Communists moved across the border into Turkey or into Greece there would be a situation which would be very easy for the American people to understand, namely, that an aggression had taken place. But what happens if the Communists do as they did in Greece, and attempt to take the country from within? In that nation our answer was that we would get into the civil war situation, because we recognized that international communism was an international conspiracy. We did inject ourselves into the situation in order to prevent the people of Greece from being taken behind the iron curtain from within.

Mr. LUCAS. Mr. President, it is a rather long and involved question the Senator has asked, if it was a question. But in response primarily to the statement he made, I should like to make merely one reply. I think the agitation which is going on now with respect to what we ought to do in the Far East, in view of the definite policy which has been laid down by the State Department, is serving no useful purpose, so far as helping the eastern situation is concerned.

Speaking of Generalissimo Chiang Kai-shek, if the leadership of China had followed the directions of the military leadership of General Marshall when he was there, as the Koreans have done in the northern section of the area, they would not be in the position today in which they find themselves.

The point I make is that we spent pretty close to $3,000,000,000 there in an effort to help the Nationalist Government, and what happened to the money everyone knows. That Government simply did not perform. It did not follow orders as they were followed in Greece and in Turkey, in France and in Italy, where we have had military missions helping out. They would not take orders from Marshall or anyone else. They were going to do as they pleased, and they did so, and they came to their ruination and downfall.

I have not too much sympathy with the Generalissimo at present, if the Senator desires to know my personal feelings, because of his failure to follow the instructions laid down by the best military men of this country, including Marshall, Wedemeyer, Barr, and others who were on the scene trying to give aid and comfort to those people when they desperately needed it, but they failed to follow the orders.

Mr. HICKENLOOPER. Mr. President, will the Senator yield?

Mr. SMITH of New Jersey. First, let me say one word in answer to the Senator from Illinois The Senator from Illinois mentioned General Wedemeyer. We did not follow the Wedemeyer recommendations, and there was no issue with the Generalissimo about his recommendations. I do not care to go into that, because it is a very controversial subject, but I will say to the Senator from Illinois, with my great regard for him, with his brilliant mind and his ability to dig into things, that I only wish he could have been with me on my trip, because I know he would have had a contribution to make in this debate, which one cannot make who has not been on the scene. A breadth of view is acquired by talking with people on both sides of the controversy. There are many on the same side the Senator occupies. There is a breadth of view which many in this body should attain if we are to solve this problem to the satisfaction of the American people. What I regret is that there are too many people having to do with the matter in Washington who have not been in the Far East. It has been a very difficult situation, and in trying to solve the problem, I hope we can work it out on some kind of intelligent basis.

Mr. HICKENLOOPER. Mr. President, will the Senator from New Jersey yield to me?

Mr. SMITH of New Jersey. I now yield to the Senator from Iowa.

Mr. HICKENLOOPER. Is it the Senator's understanding that the Nationalist Government of China is still the de jure government of China, recognized by the United States?

Mr. SMITH of New Jersey. It is at this moment, yes.

Mr. HICKENLOOPER. Then Formosa is still under the control of the recognized government of China?

Mr. SMITH of New Jersey. That is correct. That is why in my recommendation I said we ought to deal with that Government and with the Taiwan people.

Mr. HICKENLOOPER. One step further. The Government of China which we recognize today, and which is in control of Formosa, has requested aid from us by way of military advice and supplies, and matters of that kind.

Mr. SMITH of New Jersey. The Senator is correct.

Mr. HICKENLOOPER. Does the Senator see any difference whatsoever in the legal status, so far as the international situation is concerned, between the situation in Formosa, where the legally constituted government, which was recognized by this country, is requesting aid and advice and certain equipment from us, and the situation which existed in Greece and Turkey, when the excuse used by the administration—and I voted for the policy—for going into Greece and Turkey with advice and missions and certain equipment, was that the legally constituted, recognized governments of those two countries were requesting that aid, and that we had a perfect right, under international law, to go in with the aid and suppress the Communist uprising? Does the Senator see any substantial difference in principle between those two situations?

Mr. SMITH of New Jersey. Not in the situation in which we are. Of course, as I have tried to point out, there is some little doubt as to the exact legal status of Formosa today; that is, as to whether it is Chinese territory with the Nationalist Government as it is, or whether that matter is still in abeyance, somewhat, because the Japanese peace treaty has not been signed. With that qualification, I would say the Senator is entirely correct.

Mr. HICKENLOOPER. We are facing a dilemma. Either Formosa is a part of China or it is still part of the territory that we took from Japan, the status of which has not been finally and completely settled, so far as international recognition is concerned, as a result of any peace treaty being made.

Mr. SMITH of New Jersey. That is correct.

Mr. HICKENLOOPER. So that we either deal with it as an ally, or the ward of some nation, until its status has been determined as a result of a Japanese peace treaty, or we deal with it as a part of China. If we deal with it as a part of China, then the recognized Government of China has control of it and has troops there.

Mr. SMITH of New Jersey. The Senator is correct.

Mr. HICKENLOOPER. I think it was United States troops that liberated it, I think there is no dispute about that, and if we deal with it as the ward of either the Allies or some other group, then the revolutionary government in China should keep out of it, for that reason. I mean, their status should not be recognized, and perhaps we would have some obligation to preserve its integrity until it is finally settled legally.

Mr. SMITH of New Jersey. I am concerned about the 7,000,000 people who are interested and who are to be sacrificed unless something is done to protect them, and who are entitled to be protected.

Mr. HICKENLOOPER. I should like to ask the Senator one more question if he will yield.

Mr. SMITH of New Jersey. I yield.

Mr. HICKENLOOPER. Did the Senator make up his mind as to whether there was any ethnic difference between the people of Formosa and the people on the mainland—in China? In other words, are they the same people, or are they a substantially different people in the matter of race, culture, and background?

Mr. SMITH of New Jersey. I would not say that they are substantially different. They have a background, of course, very much the same, but they have been independent of, or away from China so long, under Japanese control, that there has been intermarriage with Japanese. Of course, there is much business back and forth between the main-

land and Formosa, which has brought the people together, and probably there is considerable intermixture. But fundamentally the Taiwanians think at least that they are not the same as the Chinese. As I said earlier today, I am receiving petitions from different groups which are urging that the United Nations take steps to secure for the Taiwanians independence from either of the warring groups. I do not believe the movement to be a strong one, but I think we have some responsibility along that line, in view of the fact that Taiwan was a conquered Japanese territory.

Mr. HICKENLOOPER. The Senator from New Jersey has looked into this matter more carefully than I have, and I should like to ask him this question: Does the Senator understand that Formosa was ceded to Japan by China about 50 years ago, as the result of a peace treaty?

Mr. SMITH of New Jersey. I think it was ceded to Japan by the peace treaty following the Sino-Japanese War of 1895.

Mr. HICKENLOOPER. So that so far as international recognition is concerned, Japan obtained title to Formosa and ownership to Formosa as a result of cession?

Mr. SMITH of New Jersey. Yes.

Mr. HICKENLOOPER. And during this period of time Formosa has been a part of Japan, either as a colony or in some other way?

Mr. SMITH of New Jersey. Yes.

Mr. HICKENLOOPER. It has been completely under Japanese authority?

Mr. SMITH of New Jersey. The people of Formosa were treated as a subjugated people.

Mr. HICKENLOOPER. But so far as international law is concerned, Formosa was recognized as having been transferred to Japan as the result of the settlement of the Sino-Japanese War?

Mr. SMITH of New Jersey. By conquest.

Mr. HICKENLOOPER. So that Formosa, then, actually is a country which was legally the property of Japan under international law until the surrender of Japan at the end of World War II?

Mr. SMITH of New Jersey. That is correct.

Mr. HICKENLOOPER. And Formosa then is still actually in a rather uncertain status because there has been no peace treaty and no final agreement among the Allies and the Japanese nation?

Mr. SMITH of New Jersey. I may say to the Senator that there was an agreement at Cairo, to which we were a party, which did not cover all the countries concerned, but it did cover us; we agreed at that time that after the defeat of Japan one of the conditions of the peace would be the return of Formosa to China.

Mr. HICKENLOOPER. Who agreed to that? Did that ever come before the Senate of the United States as a treaty, or has it ever come before the Congress as an agreement?

Mr. SMITH of New Jersey. I do not think it came before the Senate. I have the text of the agreement. It was read by the Senator from California [Mr. KNOWLAND] during his address last Thursday. The Senator then said:

> The Cairo declaration of September 1, 1943, had this to say—
>
> With regard to Formosa—
>
> Japan shall be stripped of all the islands in the Pacific which she has seized or occupied since the beginning of the First World War in 1914, and * * * all the territories Japan has stolen from the Chinese such as Manchuria, Formosa, and the Pescadores, shall be restored to the Republic of China.

Because of that we cooperated in letting the National Government of China move into Formosa after the war was over, but before the peace treaty was signed.

The query now is: Legally has Formosa now moved into the Chinese Republic classification which the Cairo declaration calls for, or will it have to await the signing of the peace treaty? I say it will have to await the signing of the peace treaty, and that therefore we have a responsibility we cannot legally avoid.

Mr. HICKENLOOPER. The agreements at Cairo probably are more in the nature of proposals than of binding agreements. Does the Senator believe that the proposals at Cairo are per se binding on this country, without having been submitted as treaties, or perhaps, I should say, without having been submitted in international agreement form?

Mr. SMITH of New Jersey. I have been trying to secure the full text of the Cairo declaration. I do not think I can answer the distinguished Senator's question. It is possible the Senator from California can do so. The Senator from California placed in the RECORD the matter I just read, which makes it clear that we had at least committed ourselves to this kind of an adjustment. Whether, as the Senator suggests, that commitment ought to be ratified by the Senate, I will say that I think it probably should in the final Japanese peace treaty that will come to us some day for ratification. It will contain this provision. I have maintained that all along. I do not think the declaration is legal until we have ratified it.

Mr. HICKENLOOPER. I should like to ask the Senator a question based on a point raised by the Senator from Illinois [Mr. LUCAS] a moment ago. The Senator from Illinois expressed great apprehension of what would happen if we were to send war vessels to the waters around Formosa. Is it not true that we did not hesitate to send aircraft carriers and destroyers and other war vessels into the Adriatic when there was some tension between Yugoslavia and Italy? Is it not true that we did not hesitate to send war vessels, including carriers into Grecian waters and Turkish waters when there was some need for reassurance to those countries of our program there? Does the Senator agree that we did so on those two occasions?

Mr. SMITH of New Jersey. There are many instances in our history when we did that very thing.

Mr. HICKENLOOPER. I will say that I am not advocating the sending of armed forces to Formosa. I believe the Formosan people and the Chinese can take care of their own affairs without the necessity of our sending armed forces there to work out their problems for them.

Mr. SMITH of New Jersey. That is in line with what I suggested earlier today.

Mr. HICKENLOOPER. Will the Senator indulge me for one more moment for an observation in the nature of a question?

Mr. SMITH of New Jersey. I yield.

Mr. HICKENLOOPER. Reference was made a moment ago to the fact that we did not follow the advice of General Marshall and General Wedemeyer. I believe the Senator from Illinois made that suggestion. The Senator from New Jersey very properly pointed out immediately that we did not follow the advice of General Wedemeyer because we did not know what that advice was in the first place, so far as the Congress was concerned. I suggest to the Senator from New Jersey that had we followed the advice of General Marshall, or adopted the program he proposed while over there, we would have had a Communist government in China long since, because, as I understand, his efforts were directed toward bringing Communists into the National Government of China.

The history of every nation, so far as I know, which has opened the door to let in Communist members to its government, is that it has found before very long that the camel, having gotton its nose under the tent, eventually has crowded out the occupants of the tent and made the government completely communistic government by capture.

Mr. SMITH of New Jersey. I will say that is the technique of the Russian method of conquest. I consider that the Chinese situation today is a conquest by Russia through her new, very clever technique.

Mr. HICKENLOOPER. But I am speaking of the proposal that General Marshall advanced in China. If there is a policy in China by the administration that seems to be the policy that has been turning over great segments of the government for the past several years to Communist dominion by way of Communist deputies and Communist members of the Chinese Government. But if we can rely on experience of the countries in eastern Europe, where the policy has been followed of allowing Communists to infiltrate into important positions in government, we are justified in believing that had such a policy been followed in China the Chinese Nationalist Government would have been completely captured by the Communists long before this.

Mr. SMITH of New Jersey. I agree. I think the record shows that to be so.

Mr. TOBEY. Mr. President, will the Senator yield?

Mr. SMITH of New Jersey. I yield.

Mr. TOBEY. I merely wish to address a question to the distinguished majority leader the Senator from Illinois [Mr. LUCAS]. In view of the importance of the pending legislation, that is the legislation respecting oleo, which is so close to the heart of the Senator from Wisconsin [Mr. WILEY], I understand it is the intention of the administration leaders to hold the Senate in session for a night

session until final action is taken on that legislation. Is that correct?

Mr. LUCAS. In reply to my friend the Senator from New Hampshire I will say that he is not correct. I know the Senator from Wisconsin would like to have the Senate stay in session tonight and vote on the unfinished business. Some Members of the Senate, however, have arranged for a dinner tonight, so obviously we cannot have a night session.

Mr. TOBEY. I regret very much to hear the Senator say that, in view of the feelings of the Senator from Wisconsin.

Mr. WILEY. This is the first time I have known that the Senator's feelings toward me were so tender.

Mr. SMITH of New Jersey. Mr. President, I yield the floor.

Mr. CONNALLY. Mr. President, I shall consume very little time of the Senate. The debate respecting the island of Formosa has covered almost every aspect of foreign policy during recent years. The Senator from New Jersey made a very interesting speech concerning his travels, and his conferences with General MacArthur and his conferences with Chiang Kai-shek, and his conferences with various other individuals, with Formosans, and with Chinese. I cannot understand how he could have had so many conferences with so many individuals in the short time he was in the Far East.

Mr. President, one of the amazing things about travel is that a Senator or a Representative can go to a foreign country and within a week or 10 days come back with more information than had ever before been gathered respecting such foreign country or that had been theretofore known to exist respecting the particular nation.

I am at a loss to know what those who are complaining about Formosa want to do about it. I want to know what they think the policy ought to be. The Senator from New Jersey says he does not want to send a single soldier to Formosa. Yet, I hold in my hand a newspaper account, coming from New Brunswick, N. J., on January 3. It is headed: "Aggressive policy asked."

This is the newspaper statement; I shall quote the Senator from New Jersey later. I read further from the newspaper account:

> This country should lose no time in adopting an aggressive policy in the Far East, including the occupation of Formosa—

Occupation, Mr. President—an aggressive policy! "Go in and occupy it, regardless of the consequences. We want some aggression!"

I read further:

> An aggressive policy, including the occupation of Formosa, to forestall a possible Communist sweep southward, out of China, Senator ALEXANDER SMITH (Republican), of New Jersey, a member of the Senate Foreign Relations Committee, declared tonight in a recorded broadcast.

That was not any ad lib speech, but it was a recorded broadcast. The record is available in the radio station; they have the words of the Senator from New Jersey, in which he said he wants us to occupy Formosa.

How are we going to occupy it if we do not send an army there? We cannot occupy it with a few tourists; we cannot occupy it with the two or three Senators who went there, who, at the firing of the first gun, would go into a hole somewhere. [Laughter.] We cannot occupy it with them; neither can we occupy it with the few Members of Congress who visit there.

Mr. HICKENLOOPER. Mr. President, will the Senator yield for a question?

The PRESIDING OFFICER (Mr. LONG in the chair). Does the Senator from Texas yield to the Senator from Iowa?

Mr. CONNALLY. I do not yield at the moment.

Mr. HICKENLOOPER. I wanted to observe that one of the Senators who went there did not crawl into a hole in World War II.

Mr. CONNALLY. I have a high regard for the Senator. I was not personalizing the Senators who went there. I am talking about any Senator who went there. He would be a fool if he did not go into a hole. [Laughter.]

Senators talk about having us go there and intervene in a civil war in Formosa. I said when the shooting started, they would go into a hole, and I repeat it. If I were over there, that is exactly where I would go. [Laughter.] I would not want to shed my blood to determine a civil war in Formosa, in which the United States has no direct interest.

So that is that. I apologize to the Senator from California; I had no personal reference to him. I know of his fine war record, and I admire it, and I pay my tribute to it. But I was merely discussing the general proposition of tourists and Senators.

Here is where the Senator from New Jersey himself begins to talk; this is his own language, as quoted by the New Brunswick newspaper:

> I am hoping we will find a formula—

Mr. President, whenever a man undertakes to find a formula, he usually finds one, but he has usually had it in his pocket all the time. Yes, find a formula. I read further:

> I am hoping we will find a formula for occupying Formosa.

Occupy it, Mr. President. What does "occupy" mean? Everyone knows what the word "occupy," as used in the English language means. It means to seize it, to take it, to sit down there and boss it and govern it and control it.

I read further:

> "I am hoping we will find a formula for occupying Formosa," said Mr. Smith. "I think it would be very simple to work out a program with the Nationalist Government there and with the Formosan people, themselves, whereby we would go into a joint occupation and help them to recover."

Going to occupy it, Mr. President. That was the Senator's view when he made that statement. But today he would not send a single soldier there. I want to ask Senators who have been so eloquent on the floor, where is the Senator who now favors sending an army to Formosa? If such there be, let them rise; I yield to permit their answer. Is there any Member of the Senate who wishes to send an army to Formosa? Mr. Hoover wants to send the Navy there. The Senator from Ohio [Mr. TAFT], so the newspapers say, wants to send the Navy there. But they do not have a single spokesman on the floor of this body who will rise and tell the Senate and the country that, "I favor sending an army to Formosa."

What do they want to send an army there for? They want to occupy it; they want to take over Formosa. They would say, "According to my formula, in the final analysis we want to intervene in the civil war; we want to run the chance of a war; we want to run the risk of a third world war, on account of Formosa."

The testimony is, as best I can get it, that the Formosans do not want either one of these groups in control. They do not want the Communists; they do not want the Nationalists. They want to be left alone. Yet all the gentlemen who are looking for formulas—every one of them—want to occupy Formosa: Mr. Hoover, with the Navy; the Senator from Ohio [Mr. TAFT], on the other side of the island with another navy; and the Senator from New Jersey [Mr. SMITH] wants to occupy it, although I do not know with what he would occupy it, except with oratory and with conferences.

Mr. KNOWLAND. Mr. President, will the Senator yield at that point?

Mr. CONNALLY. Yes; I yield. Of course, there has been so much yielding this afternoon that I have been waiting all afternoon to get rid of yielding. But I yield.

Mr. KNOWLAND. Inasmuch as the Senator has made some statements, I am sure, of course, that he wishes to be accurate in his statements on the floor.

Mr. CONNALLY. I should like to be accurate off the floor, too.

Mr. KNOWLAND. Well, off the floor, too.

Mr. CONNALLY. I do not make any bones about being accurate only on the floor.

Mr. KNOWLAND. The junior Senator from California has not advocated sending American troops to occupy Formosa. In that respect, I disagree with other points of view.

I have suggested that it is of concern to the people of the United States that the free people of Asia not be taken behind the iron curtain; and I have advocated that assistance should be given to the legal Government of China to defend their islands of Formosa and Hainan in the same way that we have given military assistance to the legal Government of Greece, and as we are today giving assistance to the Government of Greece, and as today we are giving assistance to the Government of Korea, which also is subject to Communist pressure.

I think that if the Government of China receives such help in its bastions of Formosa and Hainan, it can defend its own islands. I am sure the able Senator from Texas recognizes the fact that under our treaty obligations and

under the United Nations obligations, if there is aggression against the Atlantic Pact nations, we are going to have to go to their defense. I do not think liberty and freedom are any less important to the people of Korea and the free people of China than they are to the people of Austria or France or of Belgium.

Mr. CONNALLY. Very well.

Mr. President, the Senator has adverted to our obligations to help China defend itself. Senators here on this floor today have said that we have had no policy in Asia, and that we have never had any policy in China. That is a slander upon the record of this Government; it is a slander upon the record of the Senate. What did we do when China was beleaguered by the Communist uprising, by this civil war? We called in Gen. Chiang Kai-shek and said to him, "It is true that we have no policy regarding China, but here is $3,000,000,000. Take this $3,000,000,000, wrung from the taxpayers of the United States by law, and provide yourself with arms and with resources in resisting the attacks of the Communist hordes."

What went with many of those arms? The reports from our own military officers—I heard one of them, a general, testify to that effect—are, "No battle was lost by the Chinese Nationalists because of a lack of arms or of munitions or of supplies." He said, "Those battles were lost because they did not want to fight."

Mr. KNOWLAND. Mr. President, will the Senator yield at that point?

Mr. CONNALLY. I hope the Senator will permit me to conclude.

Mr. KNOWLAND. Let me say that I hope this will be the last interruption.

Mr. CONNALLY. Can the Senator from California speak for his entire side of the Senate? The hour is growing late, and I wish to conclude. However, I will yield. The Senator from California has had the floor half the time today, by being yielded to. He forced the Senator from New Jersey to yield to him a great deal. Nevertheless, let him go ahead now.

Mr. KNOWLAND. The freedom of 400,000,000 people is involved, so I think we are warranted in taking a little time to discuss the question.

Mr. CONNALLY. I do not think the Senator's speech will determine that.

Mr. KNOWLAND. Perhaps it will not; but at least the public is entitled to some information.

Mr. CONNALLY. Very well.

Mr. KNOWLAND. I should like to have the Senator from Texas—and I say this in all sincerity—through his staff on the Foreign Relations Committee, present for the RECORD a break-down of the so-called $3,000,000,000 to which he has referred, which he says has been given to the Nationalist Government of China since the civil war started, subsequent to VJ-day.

The fact of the matter is that the most recent publication——

Mr. CONNALLY. Mr. President, has the Senator from California asked the question he had in mind?

Mr. KNOWLAND. I simply wish to give the Senator the figures.

Mr. CONNALLY. Let the Senator ask a question; let him not make a speech in my time. The Senator from California has been speaking half the day thus far. Let him go ahead and ask the question.

Mr. KNOWLAND. Very well. The figures I now ask to be put into the RECORD, Mr. President, were furnished by the Department of Commerce of the United States, and they show that the amount received by China has been $1,774,000,000 since VJ-day, which is not $3,000,000,000. At the proper time I shall show that that includes a great deal of surplus equipment charged at original cost, whereas the British figures are drawn up on the basis of 10 cents on the dollar. In contrast to the amount furnished China, the United Kingdom has received $6,247,000,000.

Mr. President, I ask unanimous consent that the entire list which I now hold in my hand be printed at this point in the RECORD.

There being no objection, the list was ordered to be printed in the RECORD, as follows:

Total grants	$28,171,000,000
Less amount paid to International Bank monetary fund	3,385,000,000
	24,786,000,000
Subtotal for ERP participants	17,651,000,000
United Kingdom	6,247,000,000
Germany	2,438,000,000
France	3,487,000,000
Netherlands	823,000,000
Italy	1,786,000,000
Greece	1,036,000,000
Belgium-Luxemburg	485,000,000
Austria	604,000,000
Turkey	164,000,000
Denmark	137,000,000
Norway	163,000,000
Others, including unallocated ERP	297,000,000
Other, Europe	1,581,000,000
American Republics	380,000,000
Japan	1,622,000,000
Philippines	521,000,000
China	1,774,000,000
International organizations	619,000,000

Mr. CONNALLY. Mr. President, considering the vast knowledge the Senator from California possesses and the information possessed by his staff and as a result of his researches, I do not think I am called upon to give him the figures. As a matter of fact, the record shows that since 1937 we have given China slightly more than $3,500,000,000. In addition, China has received surplus property which has had a procurement value in excess of $1,000,000,000. Our total assistance to China since VJ-day has been between $2,000,000,000 and $2,500,000,000. I make that statement in defending the administration against the charge that we have had no policy in China. We had the policy of aiding China. We had the policy of pouring out our treasure, extorted from the taxpayers of the United States, many of whom were in worse condition than some of the Chinese. Yet it is said we have no policy there. We called in Chiang Kai-shek and said, "Mr. Chiang, we want to give you some arms. We want to give you some munitions. We want to give you some supplies in order that you may carry on your resistance to the Communists who are attacking you." Yet it is said we have no policy. It is said we have no policy in Asia except the policy of giving and giving. Yet we sent General Marshall to China, who remained there over a year. He had no ambitions in China. He went at the behest of the President of the United States to try to work out peace and stability in China. Did Chiang Kai-shek follow his suggestions or advice? He did not. He had no policy in China except the policy of building up the ambitions of Chiang Kai-shek. We had the policy there of composing differences, of stopping war, of bringing about peace and stability in that great area.

We have been a friend of China throughout all the years. We gave up our extraterritorial claims there. We have given extensive loans, through the RFC and other agencies, millions upon millions of dollars, to aid the Chinese, and yet Senators say on the floor of the Senate we have had no policy in Asia, we have had no policy in China. What have we had? We did not give money to anyone else in that area as we poured it out in China.

What became of the arms? Our troops, when they got up into the northern areas, found Communist armies with United States guns in their hands, guns that our money had purchased. They found in possession of the Communists dumps of ammunition and supplies which our money had purchased. Yet it is said we have had no policy and have not tried to aid Asia. What kind of aid was it that permitted these supplies and these arms to be found in the hands of the enemies of the Chinese people?

Mr. President, some of us are becoming rather weary of the repeated charge that we have had no foreign policy, that we have had none in China, and that we have had none in Asia. Yet there is not a Senator on the floor who says he would vote to send an army to Formosa. What do we want to send to Formosa? What should we send, if not an army? It is impossible to whip the Communists with wind. It would be necessary to send men with guns in their hands, supported by aircraft and artillery and all the ordnance of war. That is what would be necessary. And what would that mean? If we intervene, if we go in with arms in our hands it would mean that we might be plunged into world war III.

Mr. President, I am sorry for the people of Formosa. I am sorry for the people of China. I am sorry for Asiatic peoples, but I am not so sorry for them as I would be for the widows that a war would leave in the United States. I love American boys and American mothers and American fathers more than I love the people of Formosa and more than I love the people of China. I am not in favor of casting a single vote that may risk plunging this country into world war III and the sending of bright-faced American boys to die in the jungles of Formosa.

Mr. TYDINGS. Mr. President, will the Senator yield?

Mr. CONNALLY. I yield.

Mr. TYDINGS. I should like to point out to the able Senator from Texas that our Navy consists not alone of ships and sailors. The marines are well trained in amphibious landing. The Navy also has aviation. Thus the Navy has in effect the Army in the form of the marines, the Air Force in the form of naval aviation, and the Navy proper in the form of ships and guns. So I should like to have someone who advocates the Navy's being sent to Formosa tell me what the Navy is to do after it arrives at Formosa.

Mr. CONNALLY. I am sorry to say I have not had an opportunity to contact ex-President Hoover or the Senator from Ohio [Mr. TAFT] as to what they meant by the reference to the Navy. President Hoover was quoted in the press as saying he wanted to send the Navy, and he wanted to build up in Formosa a wall against communism with the Navy, with the marines, with aviation, and with all the components of the Naval Establishment. I do not want to do that. I am not going to vote to do it. The American people do not want it done. They do not want us to send an army to Formosa to intervene in a civil war between two Chinese factions, the factions of Chiang Kai-shek and of the Communist Government of China, which has already been recognized by five or six of the nations of the earth.

What the Senator from New Jersey meant by joint occupation I do not know. We would not get very far with joint occupation with Chiang Kai-shek. He would either run the outfit or he would not play, that is all. Joint occupation. We cannot have a joint occupation. If there is a military force, it is necessary to have someone at the head of it, a general, an admiral, or a director of the military force.

The Senator from California made much ado about the December 23 statement issued by the Department of State. He wants to know who were the men who wrote it. Who is the man who, with pencil in hand, wrote some of this statement? Yes; who did? The State Department took responsibility for it. That means the Secretary of State vouches for it. It does not mean that he wrote it with his own hand, but it means that he sponsored it, that he stood for it. I think it is ridiculous to call upon any department to do down the line, and keep on going until they find out the person who actually wrote it on a typewriter. Who did it? Then they will want to know what kind of typewriter it was written on—what the number of the typewriter was, as in the trial of Mr. Hiss in New York. Yes; we want to know the clerk's name, the name of the stenographer, and the name of the man who dictated it, probably. Is that something the Senate of the United States should be bothering about? The statement is sponsored by the Secretary of State, and when the Secretary issued it, it became his statement, not that of the clerk, not that of the typist. A typist cannot be punished for what the Secretary of State did.

Mr. LUCAS. Mr. President, will the Senator yield?

Mr. CONNALLY. I yield.

Mr. LUCAS. Does the Senator agree with me that it is rather a strange coincidence that distinguished Senators are so vigorously intent upon finding out who wrote this message to the diplomats in the eastern section of the world, yet they do not say one word about the individual on MacArthur's staff who leaked the information to the press?

Mr. CONNALLY. There is no condemnation here of General MacArthur that I have heard. It has been verified, as I understand, that the statement gained currency through someone on the staff of General MacArthur in Tokyo. Today's newspapers state the general has a large staff of military personnel, public-relations officers, and newspaper folk who are working in a military capacity, and the presumption is that some of them gave it to their favorite reporter.

Mr. LUCAS. Mr. President, will the Senator yield?

Mr. CONNALLY. I yield.

Mr. LUCAS. Whether the statement is right or whether it is wrong, it is a statement coming from one who has the authority to issue the statement.

Mr. CONNALLY. That is correct.

Mr. LUCAS. The individual on MacArthur's staff who leaked it to the press did something that was certainly contrary to military orders. If the individual who was so anxious to leak this information to Senators, or to the press, wanted to do that, he should have taken off his military uniform and donned civilian clothes.

Mr. CONNALLY. I think General MacArthur, in the exercise of the authority which he possesses, ought to find out who the officer or who the man was who leaked the information. Here is a highly important State Department document. It was sent as a protection and as a guide to our foreign officers. It was sent to prepare them for any eventuality, yet we find it made public through a military man who gave it to the press of the entire world.

Mr. President, I now wish to advert to another subject. The Senator from California [Mr. KNOWLAND] has used the expression "turning our backs on China," because we do not go into Formosa, because we do not go around to salute Chiang Kai-shek and to say, "We report for orders, Mr. Chiang Kai-shek," and because we do not take his side and supply him with an army and with the munitions and things of the kind. The Senator from California calls it turning our backs on a wartime ally. Mr. President, as allies in the war, who did the most? Did we do more for China or did she do more for us? We did all in the world we could for China. After the war she was assailed by the Communist Army. We did everything in the world we could do for China except to send an army. We gave her money, supplies, equipment, ECA aid, and all such benefits. What we did not do was to send an army from the United States to intervene in the war. Yet the Senator from California pours opprobrium on that program; he piles abuse on it and says we are turning our backs on a wartime ally. Ah, Mr. President, it is shameful to pervert the policy of this Government and its generosity toward China.

The junior Senator from Michigan [Mr. FERGUSON], whom I do not see on the floor at the moment, spent a large part of the afternoon instructing the rest of us by questions to the Senator from New Jersey [Mr. SMITH]. But he has left the floor. I wanted to interrogate him as to whether he favors sending an army to Formosa, or whether he favors sending the Navy to Formosa. He stated that we have no policy as to China, and he attacked our lack of policy.

Mr. President, those charges are baseless, they are unsubstantiated, and they are unworthy of being made by a Senator of the United States.

I shall not take up more of the time of the Senate except to say that I want to know who the Senators are, and I shall revive the question from time to time, who want to plunge this country, not directly, but possibly, into world war III, in the name of Formosa, but principally in the name of a bitter attack upon the President of the United States and upon the Department of State. Assaults have been made on the President of the United States and the Secretary of State.

Mr. President, communism is something which is distasteful to us, but that does not mean that we are obligated to send an army to fight Communists wherever we find them. If that be the case, we should start in eastern Europe, in Bulgaria, Rumania, Hungary, Czechoslovakia, and Yugoslavia, all of which are Communist countries. Is there any obligation on our part to send an army to subjugate them on the plea that we want to give liberty to the world? After we have liberated all the countries which I have named, then there is Russia. We must liberate Russia. She is a Communist nation, and we must liberate her people. We cannot stand for a Communist government anywhere in the world.

No, Mr. President, we are not obligated to do all these things for every country on earth. We have done a great deal for many of the countries of the world, and we should do much for them in the future. I hope we shall continue a liberal policy toward promoting free government and liberty and the use of economic systems which will benefit the great masses of the people, but I do not subscribe to the doctrine that there is any obligation on us to take a sword in our hand and, wherever we find a Communist government, undertake to subjugate it and liberate its people. We could not do it if we wanted to do it. That is not the function of the United States.

The Senator from New Jersey talked about Communists. He said that we must rout them out, hunt them down. Would he say to them, "Come out of your holes, you Communists"? It is like hunt-

ing a squirrel in a hollow log. "If there is a Communist element in your country, we are going to suppress you, liquidate you; we are going to destroy you."

No, Mr. President; we cannot do that.

What other country in the world has done as much for other nations as has the United States? What other country has given China as much as has the United States? The Senator from New Jersey—if I am in error, I should like him to correct me—spoke about the abandonment of China, I believe. It may have been the Senator from California [Mr. KNOWLAND]. He uses that kind of term.

Mr. SMITH of New Jersey. I think I was guilty.

Mr. CONNALLY. I thank the Senator. If that is the only guilt that attaches to him, he is a very fortunate man. How did we abandon China? Did we have a treaty with China providing that we would protect her regardless of who attacked her? Did we send her a note saying, "Go to it. We will stand by you regardless of who attacks you"?

I will tell the Senate who abandoned China. Chiang Kai-shek abandoned her when he failed to give the Chinese people the reforms which they desired. The testimony of every witness whom I have heard discuss the subject has been that Chiang Kai-shek's government did not give to the Chinese people, the masses of the people, the reforms which they expected and desired. The testimony further is that he was surrounded by groups of corrupt officials from whom the people were unable to realize their ambitions and hopes. If anyone abandoned China it was Generalissimo Chiang Kai-shek. When we went to his aid he was in control of all China except a few small territories in the extreme north. He was in possession of a great, rich, powerful nation, with large armies, several millions of men, armed with our guns, supplies, and equipment. Yet he could not maintain his position. He could not successfully resist the army which was recruited against him. From the pictures of them which I have seen, most of them were boys. Yet Chiang Kai-Shek could not maintain his position.

The Senator from New Jersey was asked whether he admitted that armed aid might provoke war——

Mr. SMITH of New Jersey. I admitted that if we gave armed aid there was danger of war occurring, but I was not advocating armed aid. I would support the thesis of the Senator from California [Mr. KNOWLAND] by doing what we did for the Greeks and Turks. That was turned down by the President, and that is the reason why I took this other approach.

Mr. CONNALLY. The sending of armed aid might provoke war. Did not the Senator advocate sending the Navy?

Mr. SMITH of New Jersey. I did not advocate sending the Navy. I said the thesis I was presenting, in which I felt we might be called upon to defend those people in case the Communists did make an attack, was in line with what President Hoover had said with regard to the Navy and that which the Senator from Ohio [Mr. TAFT] had said. It was a defense against attack, but not in the sense of carrying on an aggressive war.

Mr. CONNALLY. There is not much difference between a navy and an army. Either one can kill. If we are killed by either one, it does not make much difference which one does it.

Do I misunderstand the Senator? Does he now say he did not favor joining the Senator from Ohio [Mr. TAFT] and ex-President Hoover, both of whom advocated the sending of a navy there? Does the Senator repudiate that statement?

Mr. SMITH of New Jersey. In case of an attack by the Communist government I would favor protecting Formosa, if our plan was adopted of trying to make an independent Chinese province there, as I have advocated. Certainly I would want to protect it from being destroyed. Just as we would use the Navy to protect Korea if it were attacked, or would protect any of the islands of Japan.

Mr. CONNALLY. The Senator from New Jersey did not say a word about defending Korea in his statement in the press. He sided with the Senator from Ohio and former President Mr. Hoover, in wanting to send the Navy. For what purpose? Our Navy has guns, it has airplanes, it has all the armament that goes to make up a great battle machine. Why does the Senator want to send it over there? Is it to play ping-pong? No; he wants to send it over there to fight somebody, he wants to send it over there to kill somebody, he wants to send the Navy over there to fight Communists, and thereby run the risk of plunging this Nation into world war III—world war III, with all its horrors, with all its misery, and all the wreck and ruin which would come to our people if they were provoked in any way to plunge the United States again into a world war.

No, Mr. President, I shall not favor sending a single American boy with a gun in his hand to Formosa to settle a civil war six or seven thousand miles away from his home, in order to appease the political ambitions and the oratorical frothings of Senators in the United States Senate. I am not going to favor that, and I know the American people do not want us to do it.

Mr. President, it is my belief that if we did what certain Senators propose, if we should go into Formosa and occupy it, we would have a liability on our hands instead of an asset. The Chiefs of Staff have found that Formosa would be of no strategic value to us. We have Japan at the north, then Okinawa, then the Philippines. That is our line of defense to the east of Formosa, and none of those places involve the question of Communist government or Communist attack. Formosa would be a liability and not an asset.

Mr. President, I want the Senators who are so violent in their views, who are so prolific in their statements, who are so verbose in their oratory about Formosa, to tell us what they would do, what they ask the United States Government to do, what they ask the people to do. I want them to tell us what American boys they want to send to Formosa. I want them to tell the parents of those boys how many American boys they would send to Formosa to bleed and to die and to be buried in the jungle soil 7,000 miles away.

Mr. President, I am not for sending them. I shall fight such a proposal, and I know that the American people will fight it. Therefore I shall propound to every Senator who speaks on this question hereafter the question whether he favors that sort of a policy or whether he does not.

Mr. KNOWLAND. Mr. President, I ask to have printed in the body of the RECORD at this point, following the remarks by the Senator from Texas, from the statement issued by President Truman on United States relations with China, under date of December 18, 1946, the two paragraphs I have marked, in which it is clearly pointed out that the so-called surplus equipment which constitutes a great part of the amount mentioned by the Senator from Texas is, under the words of the President of the United States himself, "Aircraft, all nondemilitarized combat material, and fixed installations outside of China were excluded. Thus, no weapons which could be used in fighting a civil war were made available through this agreement." That referred to the surplus sales agreement.

The PRESIDING OFFICER. Is there objection to the request of the Senator from California?

There being no objection, the matter was ordered to be printed in the RECORD, as follows:

Assistance took the form of goods and equipment and of services, such as those involved in air and water transportation of troops. According to the latest figures reported, lend-lease assistance to China up to VJ-day totaled approximately $870,000,000. From VJ-day to the end of February, shortly after General Marshall's arrival, the total was approximately $600,000,000—mostly in transportation costs. Thereafter, the program was reduced to the fulfillment of outstanding commitments, much of which was later suspended.

* * * * *

China agreed to buy all surplus property owned by the United States in China and on 17 Pacific islands and bases with certain exceptions. Six months of negotiations preceded the agreement finally signed in August. It was imperative that this matter be concluded in the Pacific as had already been done in Europe, especially in view of the rapid deterioration of the material in open storage under tropical conditions and the urgent need for the partial alleviation of the acute economic distress of the Chinese people which it was hoped this transaction would permit. Aircraft, all nondemilitarized combat material, and fixed installations outside of China were excluded. Thus no weapons which could be used in fighting a civil war were made available through this agreement.

Mr. KNOWLAND. Mr. President, it seems to me that the statement made by the Senator from Texas is one which Mr. Chamberlain might have made to the British Parliament in the time of Munich, that the distant country of Czechoslovakia was of no concern to the people of Britain, and though their liberty and their freedom were sold down the river to Nazi Germany, it was of no concern to

the people of the British Empire. Of course, we know that was not true, that he made almost inevitable World War II, and I think that those of us who sincerely believe that the question of the Communist menace in China is a vital problem, feel that we are trying to prevent that type of appeasement which would inevitably lead to war. .

Mr. WILEY. Mr. President, perhaps there is no more appropriate time than now to ask to have printed in the RECORD the text of Madame Chiang Kai-shek's farewell address to the American people. Some of us who were privileged to hear that little bit of humanity as she stood on the rostrum in the Senate a few years ago and delivered an extemporaneous address, appreciated her voice and her spirit as she addressed the American people over the radio yesterday. No matter how we feel about the Nationalists or the Communists in China, we can recognize a great character, a great soul, and a great patriot.

Tomorrow, Mr. President, I shall attend the meeting of the Committee on Foreign Relations, and after that I shall also have something to say in relation to what I think should be our foreign policy. I shall do it, not with the idea of seeking to instruct, because after all the Constitution recognizes the President as the spearhead in foreign relations, but I do think that the Senate and each individual Senator is under an obligation, especially in this stage of the world's history, when there is a conflict between two great ideologies, communism and what I call the American way of life.

At this time I ask that the farewell address to America by Madame Chiang Kai-shek be printed in the RECORD at this point.

There being no objection, the address was ordered to be printed in the RECORD, as follows:

Friends, I speak to you today to say goodby, to thank you for your kind hospitality, and to hope that perhaps my next visit to the United States will be in a happier atmosphere when my country will again be free from the ponderous hooves of an alien invader.

Naturally it is always sad for me to leave this country to which I come not only as a visitor but also as one who here spent many years of my girlhood, where I received all of my schooling and much of the inspiration for whatever I have been able to do for my people.

In a few days I shall be returning to China. Not to Nanking, Chungking, Shanghai, or Canton. Not to the soil of our mainland. I shall return to my people on the island of Formosa, the fortfess of our hopes, the citadel of our battle against an alien power which is ravaging our country.

With or without help we shall fight. We are not defeated. Millions of my countrymen are yet dedicated to the long fight. As long as a breath remains in us, and with faith in the Almighty, we shall continue the struggle. Not a day, not an hour, will pass which will not be devoted to our struggle for freedom.

PLEDGES UNREMITTING FIGHT

We shall fight fire with fire. Unremittingly and with the tenacity of life, we shall fight and bleed the enemy. Everywhere in China's mainland our guerrillas will keep kindled the torch of liberty. The enemy's lies and deceit, their treachery and propaganda will be defeated not only with bullets but also with truth.

The oppressed people on the mainland will be prepared so that at a given signal they will rise up simultaneously and overthrow the yoke of Communist domination with our returning armies.

To this we are dedicated with our lives.

It is possible that we shall give every appearance of failure. It is possible that those who take a short view of life and no view at all of moral principles will write China off as a failure.

I hope that wherever my voice carries, to whatever free corner of the world, I can help awaken liberty-loving peoples to the realization that China, abandoned and alone, now shoulders the only rifle in the defense of liberty. The world is divided between liberty and communism. In a day not too far distant millions of others will have to make the choice between fighting for their liberty or surrendering to enslavement.

Let no one be deceived. Ours is the cause of freedom. It is not, and the world should know it is not, our struggle alone. China's struggle now is the initial phase of a gigantic conflict between good and evil, between liberty and communism.

For more than 20 years my husband has led his people in the fight against communism. He alone was responsible for China's break with the Communists in 1926 when he became convinced that Russia was laboring even then to steal our country. He saw that China was being made an experiment for all the wiles and tricks which Russia since has used against the world.

TIMES HAVE CHANGED

Chiang Kai-shek, of all the world's statesmen, was first to perceive the treachery of the Communists. He was the first to fight them. A few years ago he was exalted for the courage and tenacity of the fight he waged. Now he is pilloried. Times have changed, but the man has not changed. My husband remains resolute, to lead his people against the alien invaders and their alien ideas.

Our people will continue to fight for our country from some place, from such an island as Formosa, or from the fastness of some mountain, as long as we live, or as long as there is an alien enemy on China's soil. I say that to you not in the spirit of dramatic political assertion, but as a statement of fact.

Already the moral weaklings are forsaking us. It is with heavy heart that I note that a former ally, Britain, which sacrificed millions of lives on the altar of freedom, has now been taken by its leaders into the wilderness of political intrigue. Britain has bartered the soul of a nation for a few pieces of silver. I say "for shame" to Britain. One day these pieces of silver will bear interest in British blood, sweat, and tears on the battleground of freedom. For that which is morally wrong can never be politically right.

NEVER GIVE UP

Truth requires that each people live according to its own traditions in a climate of human liberty and dignity. That has been the soul of Chinese civilization. That my people will never give up—not in the face of alien power, not even if their bodies are enslaved to alien might, so long as their eyes behold the beacon of freedom from the Formosan bastion. Our souls, our hearts will be free, and we shall act accordingly as best we can.

Should it be that some of us are killed in this battle for freedom, others will rise to take our places. There will not be a day of peace for the invader. No great powers can arrange treaties, no statesmen can write contracts, that will stifle the Chinese yearning for liberty.

Mothers will sing of it in lullabies, fathers will speak of it at the table, young schoolboys will give each other secret signs of liberty, the farmer will suffer, but the earth will grow for the enemy, not grapes and figs, but thorns and thistles.

It was out of a mass movement to free China from an earlier alien conqueror that the great revolutionary movement of Dr. Sun Yat-sen developed—a movement which expelled those invaders and established a Chinese Republic.

CITES FRIENDSHIP WITH UNITED STATES

No force will prevail to alter that. We live not by the sword but by our principles of life. Others for the sake of expediency may desert them, but in time of adversity, when the hour is dark, we cling to our principles with even greater tenacity, and that, perhaps, accounts for our having the longest continuous history of any people on earth.

The United States and China have a long friendship, as long as the history of the American Republic. Many of your citizens have lived in our country. Your people have come to our aid and have given us comfort. Yours has been a contribution of affection. You have asked for no quid pro quo. Your name among us will always be cherished for its friendship and friendliness.

I can ask the American people for nothing more. During the many months that I have been in this country I have made no speeches, I have made no appeals. I did not enter into the competition for your aid, although my country sorely needs your aid.

I shall tell you why I have been so silent. When a nation, like a man, does an act of justice it must be of his conscience and not by request or demand. There are acts of mercy, acts of charity, acts of justice. And justice is right because it is right.

Perhaps you will think me proud. My friends, my country is humbled. Our Government is on an island in the ocean. Bruce of Scotland remained with his people from a cave. We remain with our people from an island.

A MATTER OF THE HEART

At such a time no pleading can be with dignity. It is either in your hearts to love us, or your hearts have turned from us. It is either in your mind and your will to aid China in her struggle for liberty, or you have abandoned liberty.

What promise can we make to you? What guaranties can we give you? Shall we compete with those who promise more than they can ever deliver?

We stand with empty but willing hands. We stand humble, tired, crying for peace and rest, even more than for rice and bread—but we cannot give up the fight for liberty. We shall not give up the fight for liberty. With or without help, China shall fight for liberty. Alone it will take longer and cost more lives. With help our gains will be swifter. But free we shall be.

Resolute in spirit and confidence that man's inherent love of freedom and justice will emerge victorious our forces will fight on. History records with devastating truth that right will prevail.

Russia will never know one day of peace in China. Russia will never own China. China will remain free.

Good-by, my friends. I thank you.

INFORMATION AS TO BIDS ON DEFENSE DEPARTMENT CONTRACTS

Mr. FREAR. Mr. President, I should like to take this opportunity to advise the Senators of a new policy which has just been announced by the Secretary of Defense. This policy relates to a plan designed to give distribution to bid information which will particularly and materially aid small businesses. This